

Final Course Study Material (Modules 1 to 4)

Paper 4

Direct Tax Laws & International Taxation

**[Direct Tax Laws as amended by the Finance Act, 2025]
Assessment Year 2026-27**

Module – 1

**(Relevant for May 2026, September 2026 and
January 2027 examinations)**



**BOARD OF STUDIES (ACADEMIC)
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA**

This Study Material has been prepared by the faculty of the Board of Studies (Academic). The objective of the Study Material is to provide teaching material to the students to enable them to obtain knowledge in the subject. In case students need any clarification or have any suggestion for further improvement of the material contained herein, they may write to the Joint Director, Board of Studies (Academic).

All care has been taken to provide interpretations and discussions in a manner useful for the students. However, the Study Material has not been specifically discussed by the Council of the Institute or any of its committees and the views expressed herein may not be taken to necessarily represent the views of the Council or any of its Committees.

Permission of the Institute is essential for reproduction of any portion of this material.

© THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

All rights reserved. No part of this book may be reproduced, stored in a retrieval system, or transmitted, in any form, or by any means, electronic, mechanical, photocopying, recording, or otherwise, without prior permission, in writing, from the publisher.

Edition	:	September, 2025
Author	:	CA. (Dr.) Rashmi Goel
Committee/Department	:	Board of Studies (Academic)
E-mail	:	bosnoida@icai.in
Website	:	www.icai.org
Price	:	₹ /- (For All Modules)
ISBN No.	:	
Published by	:	The Publication & CDS Directorate on behalf of The Institute of Chartered Accountants of India, ICAI Bhawan, Post Box No. 7100, Indraprastha Marg, New Delhi 110 002 (India)
Printed by	:	

BEFORE WE BEGIN ...

Direct Tax Laws & International Taxation: Dynamic Subject Area

Direct Tax Laws & International Taxation is one of the dynamic subjects of the chartered accountancy course. The direct tax laws of the country undergo significant changes every year with the passing of the annual Finance Act. Apart from these significant amendments ushered in every year through the Finance Act, notifications and circulars are also issued from time to time by the Central Board of Direct Taxes (CBDT), the statutory authority in charge with the administration of direct taxes, to implement the provisions of the Act and clarify issues regarding the meaning and scope of certain provisions. Further, decisions are pronounced by various Courts interpreting the provisions of tax laws.

With increased cross border transactions and the whole world virtually becoming one market, there is a need for chartered accountants to enhance their knowledge base in international taxation. Countries across the globe are entering into tax treaties to avoid double taxation of a single transaction. In a highly advanced IT enabled business scenario where an entity operates from many establishments spread throughout the globe, chartered accountants have to be well versed with the nuances of international taxation to be able to give an informed and correct advice and ensure compliance with tax laws. Accordingly, international taxation has been included as an integral part of this paper.

The contents of the syllabi of this paper is divided into three parts –

1. Chapters based on substantive law of direct taxes including tax planning and tax avoidance;
2. Chapters based on the compliance and procedural law of direct taxes; and
3. Chapters based on international taxation.

The relevant Finance Act and Assessment Year

This Study Material is based on the provisions of direct tax laws, as amended by the Finance Act, 2025, and the Taxation Laws (Amendment) Act, 2025 and the significant notifications, circulars issued and other legislative amendments made upto 31st July, 2025. The computational problems have been solved on the basis of the provisions of direct tax laws applicable for A.Y.2026-27. The Study Material is, therefore, relevant for May 2026, September, 2026 and January, 2027 examinations. In this Study Material, the amendments made by the Finance Act, 2025 and the

Taxation Laws (Amendment) Act, 2025 and latest notifications and circulars issued have been indicated in *italics/bold italics*.

The significant circulars and notifications issued and other legislative amendments, if any, made upto 31.10.2025, 28.2.2026 and 30.6.2026 but not covered in this material, relevant for May, 2026, September, 2026 and January, 2027 examinations, respectively, will be webhosted as Statutory Update at the BoS Knowledge Portal.

Read the Bare Act & Rules along with Study Material

At the Final level, along with the Study Material, students are also advised to read the Income-tax Act, 1961 and Income-tax Rules, 1962, available at the website of the income-tax department www.incometaxindia.gov.in. This will help understand the language of law and sequence of sections and rules. The circulars and notifications issued by CBDT, the income-tax return forms, important provisions relating to firms, companies, trusts, FAQs etc. are also available at this website. Students are advised to visit the income-tax department's website and enhance their knowledge.

Framework of Chapters: Uniform Structure comprising of specific components

Efforts have been made to present the complex direct tax laws in a lucid manner. Care has been taken to present the chapters in a logical sequence to facilitate easy understanding by the students. The Study Material has been divided into four modules for ease of handling by students. The first three modules are on direct tax laws and the fourth module is on international taxation.

Each chapter of the Study Material has been structured uniformly and comprises of the following components:

Components of each Chapter		About the component
1	Learning Outcomes	Learning outcomes which you need to demonstrate after learning each topic have been detailed in the first page of each chapter. Demonstration of these learning outcomes would help you achieve the desired level of technical competence
2	Content	The concepts and provisions of direct tax laws and international taxation are explained in a student-friendly manner with the aid of examples/illustrations/diagrams/flow charts. Diagrams and Flow charts would help you understand and retain the concept/ provision learnt in a better manner. Examples and illustrations would help you understand the application of concepts/provisions. These value additions would, thus, help you develop conceptual clarity and get a good grasp of the topic.

3	Significant Select Cases	The summary of recent significant select Supreme Court and High Court rulings have been tabulated at the end of each chapter capturing the gist of the Court decisions interpreting the provisions of tax laws. In addition, case laws (including recent case laws) also form part of the discussion of topics in the content as well as in the questions and answers in “Test Your Knowledge” component. Questions on “Significant Select Cases” in direct tax laws have been given at the end of Module 3 to enable you to apply the rationale of court rulings in addressing issues.
4	Test Your Knowledge	The questions and answers at the end of each chapter would help you to analyse the provisions of direct tax laws and international taxation and apply the same in problem solving, thus, sharpening your application skills. In effect, these questions would test your ability to analyse and apply the concepts/provisions learnt in solving problems and addressing issues.

We hope that these student-friendly features in the Study Material improves your learning curve and sharpens your analytical and interpretational skills.

Happy Reading and Best Wishes!

PAPER – 4 : DIRECT TAX LAWS & INTERNATIONAL TAXATION

(One paper — Three hours –100 Marks)

Objective:

- (a) To acquire the ability to analyse and interpret the provisions of direct tax laws and recommend optimal solutions to practical problems in a tax efficient manner; and
- (b) To apply the provisions of direct tax laws and the concepts, principles and provisions of international taxation to recommend solutions to issues involved in cross border transactions.

Contents:

- I. (i) Comprehensive computation of income-tax liabilities of companies and other entities under the alternative tax regimes under the Income-tax Act, 1961 to optimise tax liability
 - General provisions under the Act for computation of total income and tax liability for companies and other entities
 - Special tax regimes under the Act for companies and other entities
 - Optimisation of tax liability of companies and other entities through tax planning
- (ii) Special Provisions relating to charitable and religious trust and institutions, political parties and electoral trusts, business trusts, securitisation trusts, investment funds and other funds/trusts
- (iii) Anti-avoidance provisions under the Act
- (iv) Provisions to address tax challenges on digitalization
- II. **Tax Administration and Appellate Mechanism**
 - Deduction, Collection and Recovery of Tax
 - Income-tax Authorities
 - Assessment Procedures
 - Appeals and Revision; and Dispute Resolution
 - Provisions to counteract unethical tax practices
 - Taxation of undisclosed income under the Income-tax Act, 1961

- Taxation of undisclosed foreign income and assets
- Penalties and offences and prosecution

Miscellaneous Provisions

Tax Audit and Ethical Compliances

III. International Taxation

- (i) Taxation of cross border transactions and Non-resident taxation under the Income-tax Act, 1961, including
 - Transfer Pricing
 - Non-resident Taxation
 - Double Taxation Relief
 - Advance Ruling
- (ii) Other Aspects of International Taxation, namely,
 - Significant articles of OECD and UN Model Tax Conventions
 - Fundamentals of BEPS
 - Application and Interpretation of Tax Treaties
 - Latest developments in international taxation

Note: If any new legislation(s) are enacted in place of an existing legislation(s), the syllabus will accordingly include the corresponding provisions of such new legislation(s) in the place of the existing legislation(s) with effect from the date to be notified by the Institute. Similarly, if any existing legislation(s) on direct tax laws ceases to be in force, the syllabus will accordingly exclude such legislation(s) with effect from the date to be notified by the Institute.

Further, the specific inclusions/exclusions in any topic covered in the syllabus will be effected by way of Study Guidelines every year, if required. Specific inclusions/exclusions in a topic may also arise due to additions/deletions made every year by the Annual Finance Act.

Overview of selected key amendments made by the Finance Act, 2025 and the Taxation Laws (Amendment) Act, 2025

This edition of the study material on Direct Tax Laws and International Taxation has been meticulously updated in line with the Direct tax Laws, as amended by the Finance Act, 2025 and the Taxation Laws (Amendment) Act, 2025 along with significant Notifications and Circulars issued upto 31.07.2025. It is specifically designed for A.Y. 2026-27 and is applicable for May 2026, September 2026 and January 2027 examinations.

The amendments made by the Finance Act, 2025, the Taxation Laws (Amendment) Act, 2025 and significant Notifications and Circulars issued upto 31.7.2025 have been incorporated in this material. Accordingly,

- the content including tabular presentations, diagrams, flow charts etc. have been added, deleted, modified on the basis of provisions of direct tax laws applicable for A.Y. 2026-27.
- Additionally, examples, illustrations given during the discussion, significant select cases of Supreme Court and High Court rulings forming part of the discussion or contained in the questions and tabulated at the end of each chapter and "Test Your Knowledge" questions have been updated, deleted or modified in accordance with these amendments.

While the amended provisions are distinctly highlighted in *italics/bold and italics* throughout the material for easy access and quick reference, the concise summary of some of the **key amendments** introduced by the Finance Act, 2025 and the Taxation Laws (Amendment) Act, 2025 are given here below:

- ✚ **Default Tax Regime [Section 115BAC]** - The tax slabs under the Default Tax Regime have been restructured as follows:

Total income	Rate of tax
Upto ₹ 4,00,000	Nil
From ₹ 4,00,001 to ₹ 8,00,000	5%
From ₹ 8,00,001 to ₹ 12,00,000	10%
From ₹ 12,00,001 to ₹ 16,00,000	15%
From ₹ 16,00,001 to ₹ 20,00,000	20%
From ₹ 20,00,001 to ₹ 24,00,000	25%
Above ₹ 24,00,000	30%

- ✚ **Increase in limit of rebate under section 87A:** The limit of total income for claiming rebate under section 87A is increased from ₹ 7 lakhs to ₹ 12 lakhs and corresponding, the limit of rebate from ₹ 25,000 to ₹ 60,000. It implies that the tax liability of a resident individual who is paying tax under default tax regime having total income upto ₹ 12 lakhs excluding income taxable at special rates u/s 111A, 112, 112A etc. will be Nil. Marginal relief will still be applicable for income marginally higher than ₹ 12 lakhs.
- ✚ **Income on redemption of Unit Linked Insurance Policy:** To rationalise the provisions for unit-linked insurance policies, ULIPs to which exemption under clause (10D) of section 10 does not apply, is classified as capital assets under section 2(14) and the profit and gains from the redemption of such ULIPs shall be charged to tax as capital gains under section 45(1B). Definition of equity-oriented fund is also amended to include all ULIPs to which exemption under clause (10D) of section 10 does not apply.
- ✚ **Revamping of Capital Gain -** The provisions of period of holding for classifying capital asset as long term or short term, indexation benefit, tax rates for capital gains taxable u/s 112, 111A and 112A etc. have been amended by the Finance (No. 2) Act, 2024. Certain amendments were applicable with effect from certain date like 23.7.2024. Accordingly, both pre and post amended provisions were discussed in this unit. However, for May 2026, September 2026 and January 2027 examinations, the relevant previous year is P.Y. 2025-26. Therefore, this chapter has been revamped to reflect only post amended provisions.
- ✚ **Exemption from withdrawals from National Savings Scheme (NSS):** Section 80CCA provides for a deduction for any amount deposited in the NSS. No deduction would be allowed in relation to such amount deposited on or after 1.4.1992.

The NSS 1987 accounts are still operational, however due to the notification G.S.R.538E dated 29.8.2024 issued by Ministry of Finance through National Savings Scheme (Amendment) Rules, 2024, the balances at the credit of the subscribers of the National Savings Scheme on or after 1st October, 2024, would not earn any interest.

Consequent to this notification, depositors who had intended to leave their NSS balances untouched for future use will lose interest benefit and be compelled to withdraw the balances, making these amounts taxable.

Section 80CCA has been amended to provide exemption to the withdrawals made from National Savings Scheme (NSS) on or after 29th August, 2024, for any amount deposited

under the scheme and the interest accrued thereon in respect of which a deduction has been allowed.

✚ **Parity in provisions related to carry forward of losses in case of amalgamation:** In order to bring parity with the provisions of carry forward of business losses, section 72A and section 72AA has been amended to provide that any loss forming part of the accumulated loss of the predecessor entity, to be carried forward for not more than eight assessment years immediately succeeding the assessment year for which such loss was first computed for original predecessor entity.

✚ **Deduction u/s 80CCD for contributions made to the NPS Vatsalya:** Section 80CCD(1B) provides for an additional deduction of upto ₹ 50,000 in respect of contributions made by an individual to the National Pension System (NPS). The scope of this sub-section has been extended to include contributions made to NPS Vatsalya accounts. The NPS Vatsalya Scheme, enables parents and guardians to start a National Pension Scheme (NPS) account for their children. However, the aggregate deduction under section 80CCD(1B), including contributions to both regular NPS and NPS Vatsalya accounts, shall not exceed ₹ 50,000 in a financial year.

Clause (12BA) is inserted in section 10 to provide that any income received on partial withdrawal made out of the minor's account, would not be included in the total income of the parent/guardian to the extent it does not exceed 25% of the amount of contributions made by him.

✚ **Deduction u/s 80CCD for Unified Pension Scheme:** The Unified Pension Scheme (UPS) has been introduced as an option under the National Pension System (NPS) by the Central Government for the Central Government employees covered under NPS so that they may receive an assured payout after their retirement. It is a 'fund-based' payout system which relies on the regular and timely accumulation and investment of applicable contributions (from both the employee and the employer (the Central Government) for grant of monthly payout to the retiree.

To align the tax treatment of the UPS with the NPS, sub-section (3A) and (6) in section 80CCD and clause (12AA) and (12AB) in section 10 has been inserted by the Taxation Law (Amendment) Act, 2025.

- ✚ **Extension of terminal date for setting up of start-ups eligible for claiming deduction under section 80-IAC:** The eligible start-up is required to be incorporated between 1.4.2016 and 31.3.2025 in order to be eligible for deduction under section 80-IAC. The outer time limit for incorporation is extended from 31.3.2025 to 31.3.2030.
- ✚ **Expansion of Tonnage Tax Scheme Benefits to Inland Vessels:** To promote inland water transportation in the country and to attract investments in the sector, the benefits of tonnage tax scheme is extended to Inland Vessels registered under Inland Vessels Act, 2021.
- ✚ **Increase in period of registration for smaller trusts or institutions:** The validity of registration of trust or institution was 5 years. To reduce the compliance burden for the smaller trusts or institutions, the period of validity of registration of trust or institution has been increased from 5 years to 10 years. Smaller trusts or institutions would mean such trusts or institutions whose total income, without giving effect to the provisions of sections 11 and 12, does not exceed ₹ 5 crores during each of the two previous year, preceding to the previous year in which such application is made.
- ✚ **List of persons specified under section 13(3) rationalised–** Section 13 provides that the provisions of sections 11 and 12 will not apply *inter alia* if the income or property of a trust or institution applied for the benefit of certain specified persons. These specified persons include any person who has made substantial contribution to the trust or institution i.e., any person whose total contribution upto the end of the relevant previous year exceeds ₹ 50,000 and his relative and any concern in which such person has a substantial interest.

To address difficulties in reporting details of contributors other than founders, trustees, or managers, section 13(3) is amended to provide that the specified person would include a person whose contribution during the relevant previous year exceeds ₹ 1 lakh or in aggregate up to the end of the relevant previous year exceeds ₹ 10 lakhs. Further, the relatives of such contributors will no longer be considered as specified persons and concerns in which these contributors have a substantial interest is also excluded from meaning of specified persons.
- ✚ **Registration not be cancelled for minor default –** *Explanation* to section 12AB(4) *inter alia* provides that where registration or provisional registration of a trust or an institution has been granted and subsequently, the Principal Commissioner or Commissioner has noticed occurrence of one or more specified violations including incomplete application or it contains false or incorrect information, then, registration of such trust or institution can be cancelled.

Explanation to section 12AB(4) has been amended to provide that the situations where the application for registration of trust or institution is not complete, shall not be treated as specified violation and hence, registration would not be cancelled for such a minor default.

 **Abolishment of equalization levy** – W.e.f. 1.4.2025, the 6% equalization levy on online advertisement has been abolished.

 **Reduction in tax deduction at source (TDS) and tax collection at source (TCS) rates:**
The TDS and TCS rates in the following sections have been brought down:

S. No	Section	Existing TDS/TCS Rate	Revised TDS/TCS Rate
1.	194D - Insurance Commission	5%	2%
2.	Section 194LBC - Income in respect of investment in securitization trust	25% if payee is Individual or HUF and 30% otherwise	10%
3.	206C(1) - TCS on timber or any other forest produce (not being tendu leaves) obtained under a forest lease and - TCS on timber obtained by any mode other than under a forest lease	2.5%	2%
4.	Section 206C(1G) – TCS on remittance under LRS for purpose of education, financed by loan from financial institution referred to in section 80E	0.5% after ₹ 7 lakhs	Nil

 **Increase in threshold limit for deduction or collection of tax at source:** The threshold limit for requirement to deduct tax at source or collect tax at source under the following sections have been increased:

S. No	Section	Existing Threshold limit (₹)	Revised Threshold limit (₹)
1.	193 - Interest on securities	Nil	10,000
2.	194 – Dividend for an individual shareholder	5,000	10,000
3.	194A - Interest other than Interest on securities	(i) ₹ 50,000 for senior citizen; (ii) ₹ 40,000 in case of others	(i) ₹ 1,00,000 for senior citizen (ii) ₹ 50,000 in case of others

		when payer is bank, cooperative society and post office (iii) ₹ 5,000 in other cases	when payer is bank, co-operative society and post office (iii) ₹ 10,000 in other cases
4.	194B - Winnings from lottery, crossword puzzle etc.	Aggregate of amounts exceeding ₹ 10,000 during the financial year	₹ 10,000 in respect of a single transaction
5.	194BB - Winnings from horse race	Aggregate of amounts exceeding ₹ 10,000 during the financial year	₹ 10,000 in respect of a single transaction
6.	194D - Insurance commission	15,000	20,000
7.	194G - Income by way of commission, prize etc. on lottery tickets	15,000	20,000
8.	194H - Commission or brokerage	15,000	20,000
9.	194-I Rent	₹ 2,40,000 during the financial year	₹ 50,000 per month or part of a month
10.	194J - Fee for professional or technical services	30,000	50,000
11.	194K - Income in respect of units of a mutual fund or specified company or undertaking	5,000	10,000
12.	194LA - Income by way of enhanced compensation	2,50,000	5,00,000
13.	206C(1G) – Remittance under LRS and overseas tour program package	7,00,000	10,00,000



No TCS on sale of goods: TCS provisions under section 206C(1H) were applicable if conditions specified thereunder are satisfied and where the provisions of section 194Q (relating to tax deduction at source by the buyer) were not attracted. However, with effect from April 1, 2025, the provisions of section 206C(1H), which required the collection of tax at source (TCS) on the sale of goods, has been abolished. Consequently, only section 194Q will now be relevant.

As per section 194Q, the buyer is required to deduct tax at source at the rate of 0.1% on value of goods exceeding ₹ 50 lakhs in a financial year for the purchase of goods from a resident seller, provided the buyer's turnover exceeds ₹ 10 crores in the preceding financial year.

- ✚ **Removal of higher TDS/TCS for non-filers of return of income:** Section 206AB and 206CCA which requires deduction/ collection of tax at higher rate when the deductee specified therein is a non-filer of income-tax return have been omitted.
- ✚ **Extending the time-limit to file the updated return:** Earlier, an updated return can be filed under section 139(8A) upto 24 months from the end of the relevant assessment year. The time limit for filing updated return has been extended to 48 months from the end of the relevant assessment year.

Rate of additional tax payable in the above case

Updated return filed after expiry of 24 months and upto 36 months from the end of relevant assessment year	60% of the aggregate of tax and interest payable
Updated return filed after expiry of 36 months and upto 48 months from the end of relevant assessment year	70% of the aggregate of tax and interest payable

- ✚ **Non applicability of section 271AAB of the Act:** The existing section 271AAB(1A) relates to penalty in respect of searches initiated after 15.12.2016. After introduction of 'Block Assessment' (Chapter XIV-B) for searches initiated under section 132 on or after 1st September, 2024, the provisions of the section 271AAB(1A) shall not to applicable to a case where search has been initiated under section 132 on or after 1st September, 2024.
- ✚ **Amendments in provisions of Block assessment for search and requisition cases under Chapter XIV-B:** Vide Finance (No. 2) Act, 2024, the concept of block assessment was introduced by amending provisions of Chapter XIV-B (Sections 158B to 158BI) to be made applicable where a search under section 132 is initiated or requisition under section 132A is made, on or after 1st September, 2024.

The term "virtual digital asset" has been added to the definition of undisclosed income of the block period which is defined under section 158B. The time-limit for completion of block assessment is changed from twelve months from end of the month to twelve months from end of the quarter in which the last of the authorisations for search or requisition has been executed.

- ✚ **Time limit to impose penalties rationalized:** The existing provisions of section 275, *inter-alia*, provide for the bar of limitation for imposing penalties. It is amended to provide that any order imposing a penalty shall not be passed after the expiry of six months from the end of

the quarter in which the connected proceedings are completed, or the order of appeal is received, or the order of revision is passed.

- ✚ **Exemption from prosecution for delayed payment of TCS:** Section 276BB provides for prosecution in case of failure to pay the tax collected at source to the credit of Central Government. Section 276BB is amended to provide exemption from prosecution to a person who has failed to pay tax collected at source (TCS) to the credit of the Central Government, if such payment is made at any time on or before the time prescribed for filing the quarterly TCS statement.
- ✚ **Obligation to furnish information on transaction of crypto-asset:** New section 285BAA has been inserted to provide that a reporting entity is required to furnish information with respect to transaction of crypto asset in a statement within such time and in such form as may be prescribed.
- ✚ **Parity in rates of long-term capital gain on transfer of securities by FIIs:** At present, FIIs are liable to tax @10% on long-term capital gains on transfer of securities (other than referred to in section 112A). To bring parity between the taxation of capital gains on transfer of capital assets between residents and non-residents, being Foreign Institutional investors, section 115AD has been amended to provide tax rate of 12.5% on such long-term capital gains.
- ✚ **Rationalization of transfer pricing provisions for carrying out multi-year arm's length price determination:** Transfer pricing provisions enable computation of income arising from an international transaction or a specified domestic transaction with regard to an arm's length price. It is amended to provide that the ALP determined in relation to an international transaction or a specified domestic transaction for any previous year to apply to the similar transaction for the two consecutive previous years immediately following such previous year.
- ✚ **Introduction of presumptive taxation scheme for non-resident providing services for electronics manufacturing facility:** A new section 44BBD has been inserted to provide presumptive taxation regime @25% for non-resident engaged in the business of providing services or technology in India, for the purposes of setting up an electronics manufacturing facility or in connection with manufacturing or producing electronic goods, article or thing in India.

The above coverage provides only a concise overview of the significant select amendments made by the Finance Act, 2025. To fully grasp the scope and application of the amendments introduced by the Finance Act, 2025, the Taxation Laws (Amendment) Act, 2025 along with Notification and Circulars, it is imperative to refer to the detailed discussions including tabular presentations, flow charts, examples, illustrations, significant select cases, test your knowledge questions provided in the respective chapters. Therefore, students are advised to refer the chapters thoroughly for comprehensive study and effective preparation for their examinations.

CONTENTS

MODULE – 1

- Chapter 1 : Basic Concepts
- Chapter 2 : Incomes which do not form part of Total Income
- Chapter 3 : Profits and Gains of Business or Profession
- Chapter 4 : Capital Gains
- Chapter 5 : Income from Other Sources
- Chapter 6 : Income of Other Persons included in assessee's Total Income
- Chapter 7 : Aggregation of income, set-off or carry forward of Losses
- Chapter 8 : Deductions from Gross Total Income

MODULE – 2

- Chapter 9 : Assessment of Various Entities
- Chapter 10: Assessment of Trusts and Institutions, Political Parties and Other Special Entities
- Chapter 11 : Tax Planning, Tax Avoidance & Tax Evasion
- Chapter 12 : Taxation of Digital Transactions

MODULE – 3

- Chapter 13 : Deduction, Collection and Recovery of tax
- Chapter 14 : Income-tax Authorities
- Chapter 15 : Assessment Procedure
- Chapter 16 : Appeals and Revision
- Chapter 17 : Dispute Resolution
- Chapter 18 : Miscellaneous Provisions
- Chapter 19 : Provisions to Counteract Unethical Tax Practices
- Chapter 20 : Tax Audit and Ethical Compliances

MODULE – 4

Chapter 21 : Non-resident Taxation

Chapter 22 : Double Taxation Relief

Chapter 23 : Advance Rulings

Chapter 24 : Transfer Pricing

Chapter 25 : Fundamentals of BEPS

Chapter 26 : Application and Interpretation of Tax Treaties

Chapter 27 : Overview of Model Tax Conventions

Chapter 28 : Latest Developments in International Taxation

DETAILED CONTENTS: MODULE - 1

CHAPTER 1 – BASIC CONCEPTS

Learning Outcomes	1.1
Contents:	
1.1 Overview of Income-tax law in India	1.2
1.2 Important definitions	1.10
1.3 Previous year and Assessment year	1.33
1.4 Charge of Income-tax	1.39
1.5 Rates of Tax, Surcharge & Cess	1.39
1.6 Rebate for resident individuals [Section 87A]	1.64
Significant Select Cases	1.67
Test Your Knowledge	1.70

CHAPTER 2 - INCOMES WHICH DO NOT FORM PART OF TOTAL INCOME

Learning Outcomes	2.1
Contents:	
2.1 Introduction	2.2
2.2 Incomes not included in total income [Section 10].....	2.5
2.3 Restrictions on allowability of expenditure [Section 14A].....	2.39
Significant Select Cases	2.41
Test Your Knowledge	2.42

CHAPTER 3 – PROFITS AND GAINS OF BUSINESS OR PROFESSION

Learning Outcomes	3.1
Contents:	
3.1 Meaning of 'Business' and 'Profession'	3.3

3.2	Income chargeable under this head [Section 28].....	3.5
3.3	Speculation business	3.9
3.4	Method of Accounting	3.12
3.5	Computation of Profits and Gains from business or profession [Section 29]	3.27
3.6	Admissible deductions	3.27
3.7	Inadmissible deductions [Section 40].....	3.133
3.8	Expenses or payments not deductible in certain circumstances [Section 40A]	3.145
3.9	Profits chargeable to tax [Section 41]	3.152
3.10	Other provisions	3.153
3.11	Compulsory maintenance of accounts [Section 44AA].....	3.167
3.12	Audit of accounts of certain persons carrying on business or profession [Section 44AB].....	3.171
3.13	Special provisions for computing profits and gains of business on presumptive basis [Section 44AD/44ADA/44AE]	3.174
3.14	Method of computing deduction in the case of business re-organization of Co-operative Banks [Section 44DB].....	3.182
3.15	Computation of business income in cases where income is partly agricultural and partly business in nature	3.188
	Significant Select Cases	3.191
	Test Your Knowledge	3.200

CHAPTER 4- CAPITAL GAINS

	Learning Outcomes	4.1
	Contents:	
4.1	Introduction	4.2
4.2	Capital Asset	4.2
4.3	Short-term and long-term capital assets	4.7

4.4	Transfer: What it means? [Section 2(47)].....	4.13
4.5	Scope and year of chargeability [Section 45]	4.14
4.6	Capital gains on distribution of assets by companies in liquidation [Section 46]	4.44
4.7	Capital gains on buyback of shares or other securities [Section 46A]	4.45
4.8	Important definitions	4.46
4.9	Transactions not regarded as transfer [Section 47]	4.50
4.10	Withdrawal of exemption in certain cases	4.68
4.11	Mode of computation of capital gains [Section 48]	4.69
4.12	Ascertainment of cost in specified circumstances [Section 49]	4.73
4.13	Cost of acquisition [Section 55(2)].....	4.85
4.14	Cost of improvement [Section 55(1)].....	4.96
4.15	Computation of capital gains in case of depreciable assets [Section 50 & 50A].....	4.99
4.16	Computation of capital gains in case of market linked debentures [Section 50AA]	4.102
4.17	Capital gains in respect of slump sale [Section 50B]	4.104
4.18	Deemed full value of consideration for computing capital gains [Section 50C, 50CA & 50D].....	4.111
4.19	Advance money received [Section 51]	4.115
4.20	Exemption of capital gains	4.118
4.21	Reference to Valuation Officer [Section 55A]	4.136
4.22	Tax on Short term capital gains in respect of equity share/units of an equity oriented fund /unit of a business Trust [Section 111A]	4.137
4.23	Tax on long term capital gains [Section 112].....	4.138
4.24	Tax on long term capital gains on certain assets [Section 112A]	4.139
4.25	Surplus on sale of shares and securities - whether taxable as capital gains or business income? [Circular No. 06/2016, dated 29-2-2016].....	4.147
	Significant Select Cases	4.149
	Test Your Knowledge	4.157

CHAPTER 5-INCOME FROM OTHER SOURCES

Learning Outcomes	5.1
--------------------------------	-----

Contents:

5.1	Introduction	5.2
5.2	Method of accounting [Section 145].....	5.2
5.3	Incomes chargeable under this head [Section 56].....	5.2
5.4	Applicable rate of tax in respect of casual income [Section 115BB]	5.40
5.5	Applicable rate of tax in respect of winning from online games [Section 115BBJ].....	5.41
5.6	Deductions allowable [Section 57].....	5.41
5.7	Deductions not allowable [Section 58]	5.44
5.8	Deemed income chargeable to tax [Section 59]	5.45
Significant Select Cases		5.46
Test Your Knowledge		5.50

CHAPTER 6 - INCOME OF OTHER PERSONS INCLUDED IN ASSESSEE'S TOTAL INCOME

Learning Outcomes	6.1
--------------------------------	-----

Contents:

6.1	Clubbing of Income - An introduction	6.3
6.2	Income of other persons includible in assessee's total income	6.3
6.3	Income of other persons includible in an individual's total income	6.4
6.4	Cross transfers	6.13
6.5	Conversion of self-acquired property into the property of a HUF[Section 64(2)]	6.15
6.6	Income includes loss.....	6.15
6.7	Distinction between section 61 and section 64	6.15
6.8	Liability of person in respect of income included in the income of another person	6.16
Test Your Knowledge		6.18

CHAPTER 7 - AGGREGATION OF INCOME, SET OFF OR CARRY FORWARD OF LOSSES

Learning Outcomes..... 7.1

Contents:

7.1	Aggregation of Income	7.3
7.2	Concept of set-off and carry forward of losses	7.4
7.3	Inter-source adjustments [Section 70].....	7.4
7.4	Inter-head adjustments [Section 71]	7.5
7.5	Carry forward and set off of loss from house property [Section 71B].....	7.6
7.6	Carry forward and set-off of business losses [Section 72]	7.9
7.7	Carry forward and set-off of accumulated business losses and unabsorbed depreciation in certain cases of amalgamation/ demerger, etc. [Section 72A].....	7.12
7.8	Carry forward and set off of accumulated business losses and unabsorbed depreciation in a scheme of amalgamation in certain cases [Section 72AA].....	7.17
7.9	Carry forward and set off of accumulated loss and unabsorbed depreciation in business reorganisation of Co-operative Banks [Section 72AB]	7.20
7.10	Losses in speculation business [Section 73]	7.22
7.11	Carry forward & set-off of losses by specified businesses [Section 73A].....	7.23
7.12	Losses under head 'Capital Gains' [Section 74]	7.24
7.13	Losses from the activity of owning and maintaining race horses [Section 74A(3)]	7.26
7.14	Carry forward and set-off of losses in case of change in constitution of firm or succession [Section 78]	7.27
7.15	Carry forward and set-off of losses in case of closely held companies [Section 79]	7.28
7.16	No set off of losses against undisclosed income brought to tax Consequent to search, requisition and survey [Section 79A]	7.31

7.17	Order of set-off of losses.....	7.32
7.18	Submission of Return of Losses [Section 80].....	7.34
	Significant Select Cases	7.35
	Test Your Knowledge	7.37

CHAPTER 8 – DEDUCTIONS FROM GROSS TOTAL INCOME

	Learning Outcomes	8.1
	Contents:	
8.1	General provisions.....	8.2
8.2	Deductions in respect of payments.....	8.6
8.3	Deductions in respect of certain incomes	8.59
8.4	Deductions in respect of other income.....	8.91
8.5	Other Deductions.....	8.94
8.6	Deduction under section 10AA	8.95
	Significant Select Cases	8.105
	Test Your Knowledge	8.111

BASIC CONCEPTS



LEARNING OUTCOMES

After studying this chapter, you would be able to -

- ❑ **recap** the basic concepts of income-tax law, its components and the meaning of important terms used;
- ❑ **interpret** the provisions of income-tax law by applying the rules of interpretation;
- ❑ **examine** whether a receipt is capital or revenue in nature, in the context of the provisions of income-tax law;
- ❑ **appreciate** the difference between application of income and diversion of income by overriding title;
- ❑ **examine** the circumstances when income of the previous year would be assessed to tax in the previous year itself;
- ❑ **appreciate** the differences in the rates of tax and surcharge applicable to different categories of persons;
- ❑ **apply** the rates of tax applicable to different components of the total income of a person and the rates of surcharge, wherever applicable, and health and education cess for the purpose of determining the tax liability of such person.

CHAPTER OVERVIEW**Components of Income-tax Law****Rules of Interpretation****Important Definitions****Charge of Income-tax****Rates of Tax & Surcharge****1.1 OVERVIEW OF INCOME TAX LAW IN INDIA**

The Constitution of India, in Article 265 lays down that “*No tax shall be levied or collected except by authority of law.*” Accordingly, both the levy of tax as well as its collection shall be made under a law framed by the government.

Constitution of India gives the power to levy and collect taxes, whether direct or indirect, to the Central and State Government. The Parliament and State Legislatures are empowered to make laws on the matters enumerated in the Seventh Schedule by virtue of Article 246 of the Constitution of India.

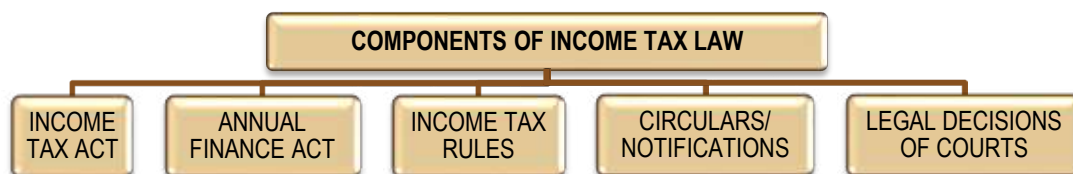
The Seventh Schedule to Article 246 contains three lists which enumerate the matters under which the Parliament and the State Legislatures have the authority to make laws for the purpose of levy of taxes.

The following are the lists:

- (i) **Union List or List I:** Parliament has the exclusive power to make laws on the matters contained in Union List.
- (ii) **State List or List II:** The Legislatures of any State has the exclusive power to make laws on the matters contained in the State List.
- (iii) **Concurrent List or List III:** Both Parliament and State Legislatures have the power to make laws on the matters contained in the Concurrent List.

*Income-tax is the most significant direct tax. **Entry 82 of the Union List** i.e., List I in the Seventh Schedule to Article 246 of the Constitution of India has given the power to the Parliament to make laws on taxes on income other than agricultural income.*

Income-tax is a tax levied on the total income of the previous year of every person. A person includes an individual, Hindu Undivided Family (HUF), Association of Persons (AOP), Body of Individuals (BOI), a firm, a company etc. The income-tax law in India consists of the following components –



The various instruments of law containing the law relating to income-tax are explained below:

Income-tax Act, 1961

The levy of income-tax in India is governed by the Income-tax Act, 1961. In this material we shall briefly refer to this as the Act.

- It extends to the whole of India.
- It came into force on 1st April, 1962.
- It contains sections 1 to 298 and schedules I to XIV.
- It undergoes a change every year by the Annual Finance Act passed by Parliament, and other legislations like the Taxation Laws (Amendment) Act.

The Finance Act

Every year, the Finance Minister of the Government of India introduces the Finance Bill in the Parliament's Budget Session. When the Finance Bill is passed by both the houses of the Parliament and gets the assent of the President, it becomes the Finance Act. New provisions are inserted; existing provisions are substituted or amended every year in the Income-tax Act, 1961 and other tax laws by the Finance Act.

The First Schedule to the Finance Act contains four parts which specify the rates of tax -

- **Part I** of the First Schedule to the Finance Act specifies the rates of tax applicable to the current Assessment Year. Accordingly, Part I of the First Schedule to the Finance Act, 2025 specifies the rates of tax for A.Y. 2025-26 i.e., F.Y. 2024-25.

- **Part II** specifies the rates at which tax is deductible at source for the current Financial Year. Accordingly, Part II of the First Schedule to the Finance Act, 2025 specifies the rates at which tax is deductible at source for F.Y. 2025-26.
- **Part III** gives the rates for calculating income-tax for deducting tax from income chargeable under the head “Salaries” and computation of advance tax for F.Y. 2025-26 where the assessee exercises the option to shift out of the default tax regime provided under section 115BAC(1A).
- **Part IV** contains the rules for computing net agricultural income.

Income-tax Rules, 1962

The administration of direct taxes is looked after by the Central Board of Direct Taxes (CBDT).

- The CBDT is empowered to make rules for carrying out the purposes of the Act.
- For the proper administration of the Income-tax Act, 1961, the CBDT frames rules from time to time. These rules are collectively called **Income-tax Rules, 1962**.
- Rules also have sub-rules, provisos and *Explanations*. The proviso to a Rule/ Sub-rule spells out the exception to the limits, conditions, guidelines, basis of valuation, as the case may be, spelt out in the Rule/ Sub-rule. The *Explanation* gives clarification for the purposes of the Rule.
- It is important to keep in mind that along with the Income-tax Act, 1961, these rules should also be studied.

Circulars and Notifications

Circulars

- Circulars are issued by the CBDT from time to time to deal with certain specific problems and to clarify doubts regarding the scope and meaning of certain provisions of the Act.
- Circulars are issued for the guidance of the officers and/or assesseees.
- The department is bound by the circulars. While such circulars are not binding on the assesseees, they can take advantage of beneficial circulars.

Notifications

- Notifications are issued by the Central Government to give effect to the provisions of the Act.

Example: Under section 10(15)(iv)(h), interest payable by any public sector company in respect of such bonds or debentures and subject to such conditions as the Central

Government may, by notification in the Official Gazette, specify in this behalf would be exempt. Therefore, the bonds and debentures, interest on which would qualify for exemption under this section are specified by the Central Government through Notifications.

- The CBDT is also empowered to make and amend rules for the purposes of the Act by issuing notifications which are binding on both department and assesseees.

Example: Under section 35CCD, the CBDT is empowered to prescribe guidelines for notification of skill development project. Accordingly, the CBDT has, *vide Notification No. 54/2013 dated 15.7.2013*, prescribed Rule 6AAF laying down the guidelines and conditions for approval of skill development project under section 35CCD.

Case Laws

The study of case laws is an important and unavoidable part of the study of Income-tax law. It is not possible for Parliament to conceive and provide for all possible issues that may arise in the implementation of any Act. Hence the judiciary will hear the disputes between the assesseees and the department and give decisions on various issues.

The Supreme Court is the Apex Court of the Country and the law laid down by the Supreme Court is the law of the land. The decisions given by various High Courts will apply in the respective states in which such High Courts have jurisdiction.

Rules of Interpretation

Rules of Interpretation are principles that have evolved over the years, on account of interpretation of provisions of law by various Courts. These rules help in interpretation of law. The object behind use of these rules is to ascertain the intention of the lawmakers. These rules are not static and keep on evolving. At times, there may be more than one rule of interpretation which appear to applicable to a given situation. The Courts then decide the most appropriate one in the given situation considering the facts of the case.

In the ensuing paragraphs, we have made an attempt to discuss the Rules of Interpretation, largely in the context of income-tax law, citing appropriate instances.

I. Significant rules of interpretation used by Courts:

- **Rule of literal interpretation** - This rule is based on the age-old doctrine that "*judges do not legislate, they only interpret law*". It stipulates that the intention of the legislation must be found in the words used by the legislature itself. Attention must be given to what has been said and also what has not been said. Nothing should be added or subtracted. If the

provision is unambiguous and if from that provision the legislative intent is clear, the other rules of construction of statutes need not be called into aid.

- **Mischief rule** - The mischief rule originated in 16th century in the Heydon's case in the United Kingdom. It is commonly known as the Heydon's Rule or Purposive construction. Under this rule, the position before an amendment or enactment of an Act is examined to find out the mischief sought to be remedied to determine the rationale for the remedy. In order to do so, the following aspects are looked at:
 - What was law before the provision was introduced or amended?
 - What was the mischief or the defect for which the earlier provision of law did not provide a remedy?
 - What remedy has the Parliament effected in the provisions of law to cure the mischief or defect?
 - What is the intended effect of such remedy?

Courts then have to make a construction that suppresses the mischief and advances the remedy.

- **The Golden rule** – It allows a judge to depart from a word's normal meaning in order to avoid an absurd result. It is a compromise between the literal rule and the mischief rule. Like the literal rule, it gives the words of a statute their plain, ordinary meaning. However, if this leads to an irrational result which is unlikely to be the legislature's intention, the court can depart from this meaning.

In such a case, the Court would also look at the context in which a provision appears. The same words may mean one thing in one context and another in a different context. While ascertaining the true intention of the Legislature, the court must not only look at the words used by the Legislature but also have regard to the context and the setting in which they occur. The meaning of words in an enactment is not to be ascertained by reading them in isolation.

- **Rule of Harmonious construction** - The entire statute must be read as a whole. Further, all parts of a section should be read harmoniously. Construction should be such that it provides meaning to all parts of a statute. A construction which creates inconsistency or repugnancy between the various sections or parts of the statute should be avoided.

- **Principle of beneficial construction** - If the court finds that two views are possible construction which is most beneficial to the taxpayer should be adopted. This principle is also widely used in case of interpretation of fiscal laws.

Apart from these rules, there are several other rules such as *ejusdem generis*, *notitur a sociis* and *stare decisis* which are often used by Courts.

- **Rule of *ejusdem generis*** is used when particular words pertaining to a class, category or genus are followed by general words. In that case general words are construed as limited to things of the same kind.
- The principle of ***notitur a sociis*** implies that meaning of a word may be ascertained by reference to words associated with it. Words derive colour from the surrounding words.
- The principle of ***stare decisis*** stipulates that a view which is operating for long and is accepted and acted upon should not be easily departed from.

II. Interpretation of different provisions of the Income-tax Act, 1961

In context of the Income-tax Act, 1961, the ensuing table summarizes how different types of provisions are typically construed by Courts.

Type of provision	Interpretation
Charging provisions	Tax is levied by a charging section i.e., it imposes a charge or liability to pay tax. If a person has been brought to tax within the ambit of the charging section by clear words, he has to be taxed, subject to specific exemption/ deduction, if any, available under the provisions of the Act. Charging sections should be strictly construed.
Machinery provisions	Machinery provisions provide machinery for assessment and collection of charge created by the charging section. Machinery and charging provisions constitute an integrated code. The machinery provisions should be construed in a way that makes the machinery workable.
Penal provisions	Penal provisions are required to be construed in a strict manner. In case of ambiguity, the taxpayer should be entitled to the benefit of doubt.
Deeming provisions	Deeming provision is intended to enlarge the scope of chargeability of income under a particular head or scope of coverage of a certain provision. It includes matters which otherwise may or may not fall within the provision. Deeming provision should be strictly construed. It should be given its full effect and carried to its logical conclusion.

Appeal and refund provisions	The taxpayer has a right to appeal only if there is a statutory provision for the same. It cannot be implied. Appeal provision should be liberally construed in a reasonable and practical manner. Similarly, provisions granting refund must also be read liberally, in favor of the taxpayer.
Provisions giving exemptions and reliefs	Provisions giving deduction, exemption or relief should be interpreted liberally and in favor of taxpayers. They should be construed to effectuate the object of legislature and not to defeat it.

III. Aids to interpretation

An aid is a device that helps or assists Courts in interpretation of statutes. They can be broadly classified as:

- **Internal Aids**
- **External Aids**

Internal aids to construction

Internal aids of construction refer to aids present within the statute itself, such as the long title, the preamble, heading, marginal notes, punctuations, definition sections, provisos and explanations. Let us now examine some of these:

- **Explanations** – Explanation is generally meant to explain or clarify the meaning of certain words and expressions contained in the main provision. Explanation appended to a section is an integral part of the section. It does not have independent existence apart from the section. In exceptional cases an explanation may widen the scope of the main section by introducing a legal fiction.
- **Provisos** – Generally the function of a proviso is to carve out an exception/ condition to qualify a provision. A proviso cannot control the enactment. A proviso is not applicable unless the main provision is applicable to the facts of the case. It must be construed harmoniously with the main provision.

Example: Sections 80GGB and 80GGC provides for deduction from gross total income in respect of contributions made by companies and other persons, respectively, to political parties or an electoral trust.

The proviso to sections 80GGB and 80GGC provides that no deduction shall be allowed under those sections in respect of any sum contributed by cash to political parties or an electoral trust. Thus, the provisos to these sections spell out the circumstance when deduction would not be available thereunder in respect of contributions made.

The Explanation below section 80GGC provides that for the purposes of sections 80GGB and 80GGC, “political party” means a political party registered under section 29A of the Representation of the People Act, 1951. Thus, the Explanation clarifies that the political party has to be a registered political party.

- **Non-obstante clause** – Non-obstante clause is a clause which begins with the phrase “notwithstanding anything contained in any other provision of the Act” or “notwithstanding anything contained in a particular provision(s) of the Act”. Use of this phrase shows that the intent of lawmakers is to give it an overriding effect, in case of a conflict, over the other provisions of the statute mentioned in the provision.

***Example:** Section 43B provides deduction of certain specified sums for computing of income under the head “Profits and gains from business or profession” on actual payment basis. It begins with the phrase “notwithstanding anything contrary in any other provision of this Act”. Thus, it overrides the other provisions of the Act and provides deduction of payments or expenditures specified therein **only on the basis of actual payment**.*

- **Marginal notes and headings** - Headings may be prefixed to a section or a group of sections. Marginal notes are the notes which are inserted at the side of the sections in a statute and express the effect of the sections stated. Headings and marginal notes cannot control the plain words of the provisions. Only in the case of ambiguity they may be referred to throw light on intention of legislature.
- **Definition clauses and undefined words** -The object of a definition clause is to avoid the necessity of frequent repetitions in describing the subject matter in the statute. When the statute defines a particular word, the same should be used, unless the context otherwise requires. A word occurring more than once in a statute should be generally given the same meaning, unless the context requires otherwise. Words not specifically defined must be taken in their legal sense, dictionary meaning, commercial or common meaning. Definition from any other statute cannot be borrowed and used ignoring the definition contained in the statute itself.

In the Income-tax Act, 1961, definitions contained in section 2 are for the purposes of the Income-tax Act, 1961. However, definitions contained in a particular Chapter of the Income-tax Act, 1961 are generally relevant only in the context of the provisions relating to that Chapter, unless reference to such definition(s) has been made in any other provision(s)/ Chapter of the Act.

External aids to construction

External aids refer to aids which are external to the statute such as legislative history, dictionaries, foreign decisions, reference to other statutes. Let us examine some of them:

- **Legislative history** - Historical setting cannot be used as an aid if the words are plain and clear. If the wordings are ambiguous, one can look at the historical facts and circumstances that prevailed at the time when the law was passed for determining the object and purpose. Reports of Commissions including Law Commission or Committees including Parliamentary Committees preceding the introduction of a bill can also be referred to as evidence of historical facts, surrounding circumstances or mischief intended to be remedied.
- **Circulars** - CBDT Circulars issued under section 119 of the Income-tax Act, 1961 are binding on the tax officers and persons employed in the execution of the Income-tax Act 1961. They express the views of CBDT on any issue. They are, however, not binding on the Appellate Authorities, Tribunal, Courts or the taxpayer. Taxpayers can however take benefit of the beneficial circulars.
- **Speech** - The speech made by the mover of the Bill can also be used to ascertain the mischief sought to be remedied, the object and purpose of the legislation. However, speeches made by the Members of the Parliament at the time of consideration of a Bill, are not admissible as an aid.
- **Explanatory Memorandum** - Notes on clauses and memorandum explaining the provisions of the Finance Bill can also aid in construction, in case of ambiguity.
- **Dictionary meaning** - The dictionary meaning of a word should not be looked at where the word has been statutorily defined or judicially interpreted. However, when there is no such interpretation or definition, the Court may take aid of dictionaries to ascertain a meaning of the word.



1.2 IMPORTANT DEFINITIONS

In order to understand the provisions of the Act, one must have a thorough knowledge of the meanings of certain key terms like 'assessment year', 'person', 'assessee', 'income', etc. To understand the meanings of these terms we have to first check whether they are defined in the Act.

Terms defined in the Act: Section 2 gives definitions of the various terms and expressions used therein. If a particular definition is given in the Act itself, we have to be guided by that definition. For e.g. the term 'perquisite' has been defined under section 17(2) for the purpose of taxation of salaries.

Terms not defined under the Act: If a particular definition is not given in the Act, reference can be made to the General Clauses Act or dictionaries.

Students should note this point carefully because certain terms like “dividend”, “transfer”, etc. have been given a wider meaning in the Income-tax Act, 1961 than they are commonly understood.

Some of the important terms defined under section 2 are given below:

Assessee [Section 2(7)]

“Assessee” means a person by whom any tax or any other sum of money is payable under this Act. In addition, it includes –

- Every person in respect of whom any proceeding under this Act has been taken for the assessment of -
 - his income; or
 - the income of any other person in respect of which he is assessable; or
 - the loss sustained by him or by such other person; or
 - the amount of refund due to him or to such other person.
- Every person who is deemed to be an assessee under any provision of this Act;
- Every person who is deemed to be an assessee-in-default under any provision of this Act.
- Every assessee is a ‘person’, but every ‘person’ need not be an assessee.

Assessment [Section 2(8)]

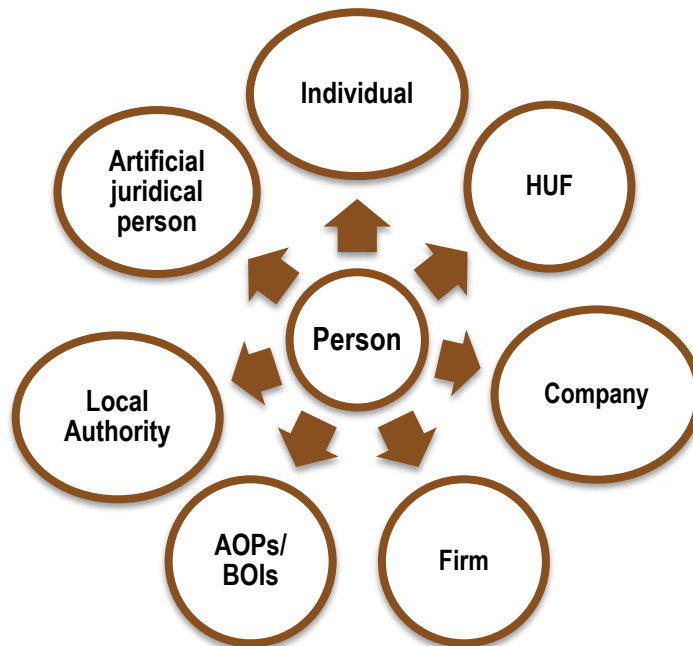
This is the procedure by which the income of an assessee is determined by the Assessing Officer. It may be by way of a normal assessment or by way of reassessment of an income previously assessed.

Types of income-tax assessment:

1. Self-assessment under section 140A
2. Summary assessment under section 143(1)
3. Scrutiny assessment under section 143(3)
4. Best judgment assessment under section 144
5. Re-assessment or income escaping assessment under section 147

Person [Section 2(31)]

The definition of 'assessee' leads us to the definition of 'person' as the former is closely connected with the latter. The term 'person' is important from another point of view also viz., the charge of income-tax is on every 'person'. The definition of the term 'person' is inclusive and not exhaustive. The different types of persons recognized under the Act are provided in the diagram below:



We may briefly consider some of the above seven categories of assessee each of which constitute a separate unit of assessment or a separate tax entity.

(i) Individual

The term 'individual' means only a natural person, *i.e.*, a human being.

It also includes a minor or a person of unsound mind. But the assessment in such a case may be made under section 161(1) on the guardian or manager of the minor or lunatic who is entitled to receive his income. In the case of deceased person, assessment would be made on the legal representative.

(ii) HUF

Under the Income-tax Act, 1961, a Hindu undivided family (HUF) is treated as a separate entity for the purpose of assessment. It is included in the definition of the term "person" under section 2(31). The levy of income-tax is on "every person". Therefore, income-tax is payable by a HUF.

"Hindu undivided family" has not been defined under the Income-tax Act, 1961. The expression is, however, defined under the Hindu Law as a family, which consists of all males lineally descended from a common ancestor and includes their wives and daughters.

[Refer Chapter 9: Assessment of various entities in Module 2 for detail discussion of HUF]

(iii) Company [Section 2(17)]

For all purposes of the Act, the term 'Company', has a much wider connotation than that under the Companies Act, 2013. Under the Act, the expression 'Company' means:

- (a) any Indian company as defined in section 2(26); or
- (b) any body corporate incorporated by or under the laws of a country outside India, i.e., any foreign company; or
- (c) any institution, association or body which is assessable or was assessed as a company for any assessment year under the Indian Income-tax Act, 1922 or for any assessment year commencing on or before 1.4.1970 under the present Act; or
- (d) any institution, association or body, whether incorporated or not and whether Indian or non-Indian, which is declared by a general or special order of the CBDT to be a company for such assessment years as may be specified in the CBDT's order.

Classes of Companies

- (1) **Domestic company and Foreign Company:** Companies can be classified into two categories, viz. (1) Domestic company and (2) Foreign company.

Domestic company [Section 2(22A)] - It means an "Indian company" or any other company that has made the necessary arrangements to declare and pay dividends (including those on preference shares) within India from its income that is subject to income tax.

Indian company [Section 2(26)] - A company is considered an "Indian company" under section 2(26) of the Income-tax Act, 1961 if it meets two key conditions:

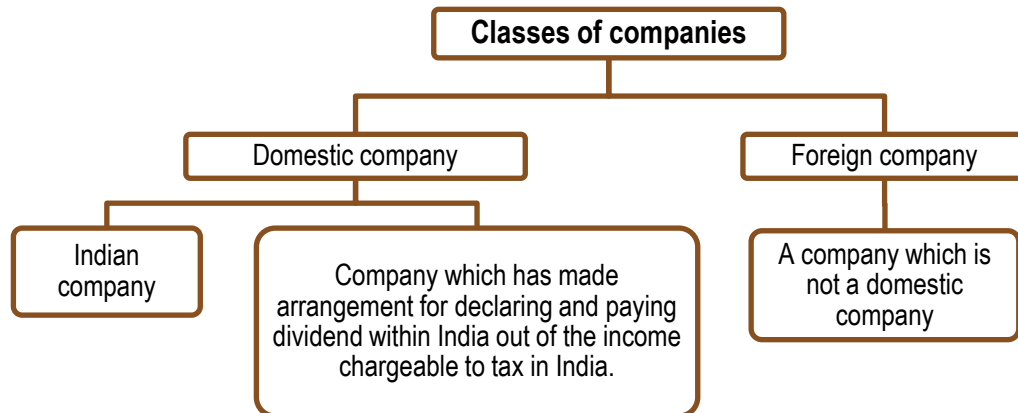
1. **Formation and Registration:** The company should have been formed and registered under the Companies Act, 1956¹.
2. **Office Location:** The company's registered or principal office should be in India.

Additionally, the term "Indian company" also includes the following provided their registered or principal office in India:

¹ Now Companies Act, 2013

- Corporation established by or under a Central, State, or Provincial Act, such as Financial Corporation or State Road Transport Corporation.
- Institution, association, or body declared by the Board to be a company under section 2(17)(iv).
- Company formed and registered under any law in force in any part of India, excluding Jammu and Kashmir and specific Union territories.
- Company formed and registered under any law in force in Jammu and Kashmir.
- Company formed and registered under any law in force in Union territories like Dadra and Nagar Haveli, Daman and Diu, Pondicherry, or the State of Goa.

Foreign company [Section 2(23A)] - Foreign company means a company which is not a domestic company



(2) **A company is further classified into two primary categories based on public interest:**

Widely Held Company (Company in which public are substantially interested): A company is considered to have substantial public interest if it meets any of the following criteria as outlined in section 2(18) of the Income-tax Act, 1961:

- (a) **Government or RBI Ownership or participation:** A company owned by the Central or State Government or the Reserve Bank of India (RBI), or where at least 40% of the shares are held (whether singly or taken together) by the Government or the RBI or a corporation owned by the RBI.

- (b) **Company registered under section 25 of the Companies Act, 1956:** A company registered under section 25 of the Companies Act, 1956², which is formed to promote commerce, art, science, education, research, social welfare, charity, environmental protection, etc., and does not distribute dividends to their members.
- (c) **Companies with No Share Capital and declared by the CBDT:** A company which does not have share capital and is declared by the CBDT to be a company in which the public are substantially interested for specified assessment years.
- (d) **Mutual Benefit Finance Company (Nidhi or Mutual Benefit Society):** A company that primarily accept deposits from its members and is declared by the Central Government under Section 620A of the Companies Act, 1956³, to be a *Nidhi* or Mutual Benefit Society.
- (e) **Cooperative Society ownership:** A company whose equity shares carrying at least 50% of the voting power are unconditionally allotted or acquired by one or more cooperative societies and held throughout the relevant previous year.
- (f) **Public Limited Company:** A company which is not a private company as defined in the Companies Act, 1956⁴ and which fulfills any of the following conditions:
- its equity shares were listed in a recognized stock exchange in India as on the last day of the relevant previous year; or
 - its equity shares carrying at least 50% (40% in case of an Indian company in ship construction business or in the manufacture or processing of goods or in mining or in generation or distribution of electricity or any other form of power) voting power have been unconditionally allotted to or acquired by and should have been beneficially held throughout the relevant previous year by
 - (a) Government or
 - (b) a Statutory Corporation or
 - (c) a company in which public are substantially interested or
 - (d) any wholly owned subsidiary of company mentioned in (c).

² Section 8 of the Companies Act, 2013

³ Section 406 of the Companies Act, 2013

Closely Held Company (Company in which public are not substantially interested):

Any company that does not meet the criteria for being classified as widely held company is considered closely held company. Thus, all private limited companies will be treated as companies in which public are not substantially interested.

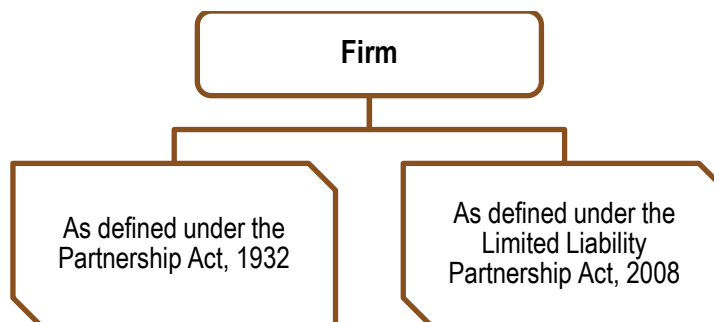
[Refer Chapter 9: Assessment of various entities in Module 2 for detail discussion of companies]

(iv) Firm [Section 2(23)]

The terms 'firm', 'partner' and 'partnership' have the same meanings as assigned to them in the Indian Partnership Act, 1932. In addition, the definitions also include the terms limited liability partnership, a partner of limited liability partnership as they have been defined in the Limited Liability Partnership Act, 2008.

In an LLP, since liability of the partners is limited to their agreed contribution therein, it contains elements of both a corporate structure as well as a partnership firm structure.

However, for income-tax purposes a minor admitted to the benefits of an existing partnership would also be treated as partner.



A partnership is the relation between persons who have agreed to share the profits of business carried on by all or any of them acting for all. The persons who have entered into partnership with one another are called individually 'partners' and collectively a 'firm'.

(v) Association of Persons (AOP)

When persons combine together for promotion of joint enterprise they are assessable as an AOP, when they do not in law constitute a partnership. In order to constitute an association, persons must join for a **common purpose or action** and their object must be to produce income; it is not enough that the persons receive the income jointly. Co-heirs, co-legatees or co-donees joining together for a common purpose or action would be chargeable as an AOP.

For e.g., Mr. Yash, AB & Co. (Firm) and X (P) Ltd. Join together to carry on construction activity otherwise than as a partnership firm, such an association will be recognized as an association of persons.

(vi) Body of Individuals (BOI)

Body of individuals refers to a conglomeration of individuals who carry on some activity with or without the object of producing income. It denotes the status of persons like executors or trustees who merely receive the income jointly and who may be assessable in like manner and to the same extent as the beneficiaries individually. Thus, co-executors or co-trustees are assessable as a BOI as their title and interest are indivisible. Income-tax shall not be payable by an assessee in respect of the receipt of share of income by him from BOI and on which the tax has already been paid by such BOI. For e.g., mutual trade associations, members club, etc.

Section 2(31) further explains that an association of persons/body of individuals or a local authority or an artificial juridical person shall be treated as a person, whether or not it is formed with the object of deriving income, profits or gains. Accordingly, even if such entities have been formed not for earning any income/ profit still they are "person" for the purpose of the Act and are covered by the provisions of the Act.

Difference between AOP and BOI: In case of a BOI, only individuals can be the members, whereas in case of AOP, any person can be its member i.e., entities like company, firm etc. can be the member of AOP but not of BOI.

In case of an AOP, members voluntarily come together with a common will for a common intention or purpose, whereas in case of BOI, such common will may or may not be present.

(vii) Local Authority

The term means a municipal committee, district board, body of port commissioners or other authority legally entitled to or entrusted by the Government with the control or management of a municipal or local fund.

Note: A local authority is taxable in respect of that part of its income which arises from any business carried on by it in so far as that income does not arise from the supply of a commodity or service within its own jurisdictional area. However, income arising from the supply of water and electricity even outside the local authority's own jurisdictional areas is exempt from tax.

(viii) Artificial Juridical Persons

Artificial Juridical Persons are the entities which are not natural persons but are separate entities in the eyes of law. This is a residual category could cover all artificial persons with a juristic personality not falling under any other category of persons. Deities, Bar Council, Universities are some important examples of Artificial Juridical Persons.

Income [Section 2(24)]**(i) Definition of Income**

The definition of income as per the Income-tax Act, 1961 begins with the words “Income includes”. Therefore, it is an inclusive definition and not an exhaustive one. Such a definition does not confine the scope of income but leaves room for more inclusions within the ambit of the term.

Section 2(24) of the Act gives a statutory definition of income. At present, the following items of receipts are specifically included in income:—

- (1) Profits and gains;
- (2) Dividends;
- (3) Voluntary contributions received by a trust/ institution created wholly or partly for charitable or religious purposes or by an association or institution referred to in section 10(21) or by a fund or institution referred to in section 10(23C) (iiiad)/ (iii ae)/ (iv)/(v)/(vi)/(via) or an electoral trust;

Research association approved under section 35(1)(ii)/(iii)	10(21)
Universities and other educational institutions	10(23C)(iiiad)/(vi)
Hospitals and other institutions	10(23C)(iii ae)/(via)
Notified funds or institutions established for charitable purposes	10(23C)(iv)
Notified trusts or institutions established wholly for public religious purposes or wholly for public religious and charitable purposes	10(23C)(v)
Electoral trust	13B

- (4) The value of any **perquisite or profit in lieu of salary** taxable under section 17(2) and (3), respectively;

- (5) Any **special allowance or benefit**, other than the perquisite included above, specifically granted to the assessee to meet expenses wholly, necessarily and exclusively for the performance of the duties of an office or employment of profit;
- (6) Any **allowance granted to the assessee** to meet his personal expenses at the place where the duties of his office or employment of profit are ordinarily performed by him or at a place where he ordinarily resides or to compensate him for the increased cost of living;
- (7) The value of **any benefit or perquisite**, whether convertible into money or not, obtained from a company either by a director or by a person who has a substantial interest in the company, or by a relative of the director or such person, and any sum paid by any such company in respect of any obligation which, but for such payment, would have been payable by the director or other person aforesaid;
- (8) The value of **any benefit or perquisite**, whether convertible into money or not, which is obtained by any representative assessee mentioned under section 160(1)(iii) and (iv), or by any beneficiary or any amount paid by the representative assessee for the benefit of the beneficiary which the beneficiary would have ordinarily been required to pay;
- (9) **Deemed profits** chargeable to tax under **section 41 or section 59**;
- (10) **Profits and gains** of business or profession chargeable to tax under section 28(ii)/(iii)/(iiia)/(iiib)/(iiic)/(v)/(va); or The value of any benefit or perquisite taxable under section 28(iv);
- (11) Any **capital gains** chargeable under section 45;
- (12) The **profits and gains of any insurance business carried on by Mutual Insurance Company or by a cooperative society**, computed in accordance with section 44 or any surplus taken to be such profits and gains by virtue of the provisions contained in the first Schedule to the Act;
- (13) The **profits and gains of any business of banking** (including providing credit facilities) carried on by a co-operative society with its members;
- (14) Any **winnings from lotteries, crossword puzzles, races including horse races, card games and other games of any sort or from gambling, or betting** of any form or nature whatsoever. For this purpose,

- i. “Lottery” includes winnings from prizes awarded to any person by draw of lots or by chance or in any other manner whatsoever, under any scheme or arrangement by whatever name called;
 - ii. “Card game and other game of any sort” includes any game show, an entertainment programme on television or electronic mode, in which people compete to win prizes or any other similar game.
- (15) Any sum received by the assessee from his employees as **contributions to any provident fund (PF) or superannuation fund or Employees State Insurance Fund (ESI) or any other fund for the welfare of such employees**;
- (16) Any sum received under a **Keyman insurance policy** including the sum allocated by way of bonus on such policy will constitute income;
- “Keyman insurance policy” means a life insurance policy taken by a person on the life of another person where the latter is or was an employee or is or was connected in any manner whatsoever with the former’s business. It also includes such policy which has been assigned to a person with or without any consideration, at any time during the term of the policy.
- (17) **Any sum referred to in section 28(va)**. Any sum, whether received or receivable in cash or kind, under an agreement for not carrying out any activity in relation to any business or profession; or not sharing any know-how, patent, copy right, trade-mark, licence, franchise, or any other business or commercial right of a similar nature, or information or technique likely to assist in the manufacture or processing of goods or provision of services, shall be chargeable to income tax under the head “profits and gains of business or profession”;
- (18) **Fair market value of inventory** as on the date on which it is **converted into, or treated as, a capital asset**, determined in the prescribed manner [Section 28(via)];
- (19) Any **sum of money received as advance**, if such sum is forfeited consequent to failure of negotiation for transfer of a capital asset [Section 56(2)(ix)];
- (20) Any **sum of money or value of property received without consideration or for inadequate consideration** by any person [Section 56(2)(x)];
- (21) Any **compensation or other payment**, due to or received by any person, by whatever named called, in **connection with termination of his employment** or the modification of the term and conditions relating thereto [Section 56(2)(xi)];

- (22) Any specified **sum received by a unit holder from a business trust** during the previous year, with respect to a unit held by him at any time during the previous year [Section 56(2)(xii)];
- (23) **Sum received**, including the amount allocated by way of bonus, **under a LIP other than under a ULIP and keyman insurance policy, which is not exempt u/s 10(10D)**, to the extent the same exceeds the aggregate of the premium paid during the term of the policy, and not claimed as deduction under any other provision of the Act [Section 56(2)(xiii)];

[For details, refer to Chapter 5 "Income from Other Sources"].

- (24) Assistance in the form of a **subsidy or grant or cash incentive or duty drawback or waiver or concession or reimbursement**, by whatever name called, by the Central Government or a State Government or any authority or body or agency in cash or kind to the assessee is included in the definition of income.

Subsidy or Grant which are not included in the definition of income u/s 2(24)

Subsidy or grant or reimbursement taken into account for determination of actual cost of depreciable asset in accordance with *Explanation 10* to section 43(1)

Subsidy or grant by the Central Government for the purpose of the corpus of a trust or institution established by a Central Govt. or State Govt., as the case may be.

(ii) Concept of Income under the Income-tax Act, 1961

- **Regular receipt vis-à-vis casual receipt:** Income, in general, means a periodic monetary return which accrues or is expected to accrue regularly from definite sources. However, under the Income-tax Act, 1961, even certain casual receipts which do not arise regularly are treated as income for tax purposes e.g., Winnings from lotteries, crossword puzzles.
- **Revenue receipt vis-a-vis Capital receipt:** Income normally refers to revenue receipts. Capital receipts are generally not included within the scope of income in general parlance. However, the Income-tax Act, 1961 has specifically included certain capital receipts within the definition of income e.g., Capital gains i.e., gains on sale of a capital assets like land, jewellery.

- **Net receipt vis-a-vis Gross receipt:** Income means net receipts and not gross receipts. Net receipts are arrived at after deducting the expenditure incurred in connection with earning such receipts. The expenditure which can be deducted while computing income under each head is prescribed under the Income-tax Act, 1961. Income from certain eligible businesses/ professions is also determined on presumptive basis i.e., as a certain percentage of gross receipts.
- **Due basis vis-a-vis receipt basis:** Income is taxable either on due basis or receipt basis. For computing income under the heads “Profits and gains of business or profession” and “Income from other sources”, the method of accounting regularly employed by the assessee should be considered, which can be either cash system or mercantile system. Some receipts are taxable only on receipt basis, like, income by way of interest received on compensation or enhanced compensation.
- **Application of Income vis-a-vis Diversion of Income:** Application of income means to discharge an obligation (which is gratuitous or self-imposed) after such income reaches the assessee. Where by virtue of an obligation by overriding title, income is diverted before it reaches the assessee, it is known as diversion of income. In case of the former, the income would be taxable in the hands of the person who applies it, whereas in the case of the latter, it is not taxable (i.e., even if the assessee were to collect the income he does so on behalf of the person to whom it is payable).

(iii) Concept of revenue and capital receipts

Students should carefully study the various items of receipts included in the definition of income. Some of them like capital gains are not revenue receipts. However, since they have been included in the definition, they are chargeable as income under the Act. The concept of revenue and capital receipts is discussed hereunder –

The Act contemplates a levy of tax on income and not on capital and hence it is very essential to distinguish between capital and revenue receipts. Capital receipts cannot be taxed, unless they fall within the scope of the definition of “income” and so the distinction between capital and revenue receipts is material for tax purposes.

Certain capital receipts which have been specifically included in the definition of income are compensation for modification or termination of services, income by way of capital gains etc.

It is not possible to lay down any single test as infallible or any single criterion as decisive, final and universal in application to determine whether a particular receipt is capital or revenue in nature. Hence, the capital or revenue nature of the receipt must be determined with reference to the facts and circumstances of each case.

Criteria for determining whether a receipt is capital or revenue in nature

The following are some of the important criteria which may be applied to distinguish between capital and revenue receipts.

Fixed capital or Circulating capital: A receipt referable to fixed capital would be a capital receipt whereas a receipt referable to circulating capital would be a revenue receipt. The former is not taxable while the latter is taxable. Tangible and intangible assets which the owner keeps in his possession for making profits are in the nature of fixed capital. The circulating capital is one which is turned over and yields income or loss in the process.

Income from transfer of capital asset or trading asset: Profits arising from the sale of a capital asset are chargeable to tax as capital gains under section 45 whereas profits arising from the sale of a trading asset being of revenue nature are taxable as income from business under section 28 provided that the sale is in the regular course of assessee's business or the transaction constitutes an adventure in the nature of trade.

Capital Receipts vis-a-vis Revenue Receipts: Tests to be applied

- (a) **Transaction entered into the course of business:** Profits arising from transactions which are entered into in the course of the business regularly carried on by the assessee, or are incidental to, or associated with the business of the assessee would be revenue receipts chargeable to tax.

Example: A banker's or financier's dealings in foreign exchange or sale of shares and securities, a shipbroker's purchases of ship in his own name, a share broker's purchase of shares on his own account would constitute transactions entered and yielding income in the ordinary course of their business. Whereas building and land would constitute capital assets in the hands of a trader in shares, the same would constitute stock-in-trade in the hands of a property dealer.

- (b) **Profit arising from sale of shares and securities:** In the case of profit arising from the sale of shares and securities the nature of the profit has to be ascertained from the motive, intention or purpose with which they were bought. If the shares were acquired as an investor or with a view to acquiring a controlling interest or for obtaining a managing or selling agency or a directorship the profit or loss on their sale would be of a capital nature; but if the shares were acquired in the ordinary course of business as a dealer in shares, it would constitute his stock-in-trade. If the shares were acquired with speculative motive the profit or loss (although of a revenue nature) would have to be dealt with separately from other business.

Note: However, securities held by Foreign Institutional Investor which has invested in such securities in accordance with the regulations made under the SEBI Act, 1992 would be treated as a capital asset. Even if the nature of such security in the hands of the Foreign Portfolio Investor is stock in trade, the same would be treated as a capital asset and the profit on transfer would be taxable as capital gains.

- (c) **A single transaction - Can it constitute business?** Even a single transaction may constitute a business or an adventure in the nature of trade even if it is outside the normal course of the assessee's business. Repetition of such transactions is not necessary. Thus, a bulk purchase followed by a bulk sale or a series of retail sales or bulk sale followed by a series of retail purchases would constitute an adventure in the nature of trade and consequently the income arising therefrom would be taxable. Purchase of any article with no intention to resell it, but resold under changed circumstances would be a transaction of a capital nature and capital gains arise. However, where an asset is purchased with the intention to resell it, the question whether the profit on sale is capital or revenue in nature depends upon (i) the conduct of the assessee, (ii) the nature and quantity of the article purchased, (iii) the nature of the operations involved, (iv) whether the venture is on capital or revenue account, and (v) other related circumstances of the case.
- (d) **Liquidated damages:** Receipt of liquidated damages directly and intimately linked with the procurement of a capital asset, which lead to delay in coming into existence of the profit-making apparatus, is a capital receipt. The amount received by the assessee towards compensation for sterilization of the profit earning source is not in the ordinary course of business. Hence, it is a capital receipt in the hands of the assessee.
- (e) **Compensation on termination of agency/ service contract:** Where an assessee receives compensation on termination of the agency business being the only source of income, the receipt is a capital nature, but taxable under section 28(ii)(c). However, where the assessee has a number of agencies and one of them is terminated and compensation is received therefor, the receipt would be of a revenue nature since taking agencies and exploiting the same for earning income is the ordinary course of business. The loss of one agency would be made good profit from another agency. Compensation received from the employer or from any person for premature termination of the service contract is a capital receipt, but is taxable as profit in lieu of salary under section 17(3) or as income from other sources under section 56(2)(xi), respectively. Compensation received or receivable in connection with the termination

or the modification of the terms and conditions of any contract relating to its business shall be taxable as business income.

- (f) **Gifts:** Normally, gifts constitute capital receipts in the hands of the recipient. However, certain gifts are brought within the purview of income-tax, for example, receipt of property without consideration is brought to tax under section 56(2)(x).

For example, any sum of money or value of property received without consideration or for inadequate consideration by any person, other than a relative, is chargeable under the head "Income from Other Sources" [*For details, refer to Chapter 5 on "Income from Other Sources"*].

(iv) **Diversion of income by overriding title and application of income**

The concept of 'diversion of income by overriding title' signifies diversion of income at source by an overriding title before it reaches an assessee. Such a diversion can take place either under a legal compulsion or under a contractual obligation or otherwise. An obligation to apply the income in a particular way before it has accrued or arisen to the assessee results in the diversion of the income. On the other hand, an obligation to apply income which has accrued or arisen or has been received amounts merely to the apportionment or application of the income and not to its diversion. Sometimes the dividing line between diversion by overriding title and the application of income after it has accrued is somewhat thin.

When income or a portion of income is diverted at the source by an overriding title before it started flowing into the channel which was to reach the assessee concerned it could be excluded from his assessable income. Wherever there is such diversion of income, such diverted income, cannot be included in the total income of the assessee who claims that there has been a diversion. On the other hand, where income has accrued or arisen in the hands of the assessee, its subsequent application in any way will not affect the tax liability.

In order to decide whether a particular disbursement amounts to diversion or application of income, the true test is to probe into and decide whether the amount sought to be deducted, in truth, did not reach the assessee as his own income. It is the nature of the obligation that is the decisive fact. There is a difference between an amount which a person is obliged to apply out of his income and an amount which by the nature of the obligation cannot be said to be a part of his income. It is the nature of the obligation that is the decisive fact. Where, by obligation, income is diverted before it reaches the assessee, it is deductible; but where the income is required to be applied to discharge an obligation after such income reaches the assessee, the same consequence, in law, does not follow. In order that there is

diversion at source of the income, the obligation is to attach to the source which yields income and not to the income only. This was so held in *CIT vs. Sitaldas Tirathdas* [1961] 41 ITR 367 (SC), *M.K. Brothers Pvt. Ltd. vs. CIT* [1972] 86 ITR 38 (SC). In many cases, it would really be a matter of proper drafting of the document creating the obligation, though, in substance, the result in both the situations may appear similar.

For the purpose of tax planning, the concept of 'diversion by overriding title' would have better scope for exploitation than the concept of 'application of income'. This is because, as pointed out above, where income is diverted by overriding title such diverted income is not taxed in the hands of the person who claims such diversion. On the other hand, the concept of application of income envisages first the accruing or arising of income and when once it has come within the grasp of the Income-tax Act, 1961 it is liable to income-tax whatever may be its destination or whomever it may be applied for. Therefore, if an overriding charge is created by the assessee either voluntarily or in pursuance of an obligation, whether pre-existing or not, the assessee may be able to invoke the principle of diversion of income by overriding charge. This is, of course, subject to the clubbing provisions contained in sections 60 to 64 (dealt with in Chapter 6: Income of other persons included in assessee's total income), which have the effect of getting over this principle in some situations.

Example on Application of Income

Mr. A is liable to pay ₹ 10,000 per month to Ms. B (his ex-wife) as alimony. Mr. A, being an employee of ABC Pvt. Ltd., instructs the HR department to pay ₹ 10,000 per month out of his salary to Ms. B directly and remit the remaining salary in his account.

In this case, the amount of ₹ 10,000 per month is an obligation of Mr. A to pay to Ms. B out of his income and not an income in which Ms. B had overriding entitlement.

In other words, this is the income of Mr. A, which is applied by him to fulfill an obligation and hence, includible in his total income and a mere arrangement to pay a sum directly to Ms. B would not make it a case of diversion of income.

Example on Diversion of Income

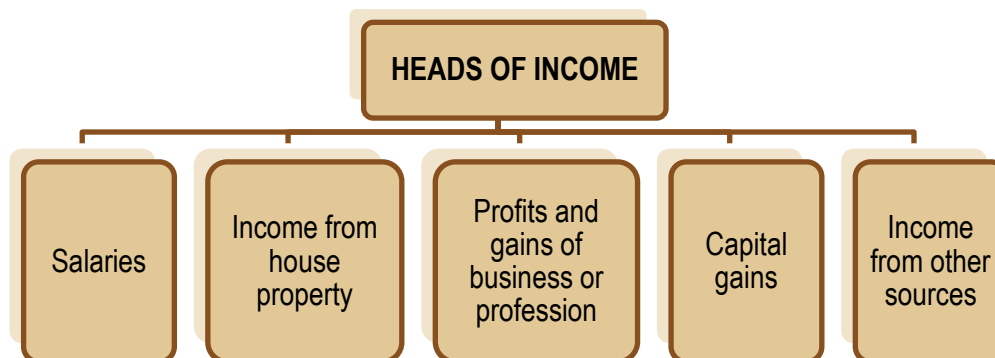
M/s ABC is a partnership firm in which Mr. A and his two sons, Mr. B & Mr. C are partners. The partnership deed provides that after the death of Mr. A, Mr. B & Mr. C shall continue the business of the firm subject to a condition that 20% of profit of the firm shall be given to Mrs. D (wife of Mr. A).

In the instant case, after the death of Mr. A, 20% of profits of the firm payable to Mrs. D gets diverted at source by the charge created in her favour as per the terms of the partnership deed. Such income does not reach the assessee-firm. Rather, such income

stands diverted to the other person as such other person has a better title on such income than the title of the assessee. The firm might have received the said amount, but it so received for and on behalf of Mrs. D, who possesses the overriding title. Therefore, the amount payable to Mrs. D after the death of Mr. A would be excluded from the income of M/s ABC

(v) Classification of income under five heads of income

Under the Income-tax Act, 1961, for computation of total income, all income of a taxpayer are classified into five different heads of income. These are shown below –



The provisions relating to “Profits and gains of business or profession”, “Capital Gains” and “Income from other sources” are discussed in Chapter 3: Profits and gains of business or profession, Chapter 4: Capital Gains and Chapter 5: Income from Other Sources, respectively, in this Module. The provisions relating to “Salaries” and “Income from house property” had been dealt with in detail at Intermediate level itself. The ensuing paragraphs contain an overview of Income under the head “Salaries” and “Income from house property”.

Income under the head “Salaries”

Section 15 deals with the basis of charge. Salary is chargeable to tax either on ‘due’ basis or on ‘receipt’ basis, whichever is earlier. However, where any salary, paid in advance, is assessed in the year of payment, it cannot be subsequently brought to tax in the year in which it becomes due. If the salary paid in arrears has already been assessed on due basis, the same cannot be taxed again when it is paid.

The terms “Salary”, “Perquisite” and “Profit in lieu of salary” are defined under section 17(1). Salary includes monetary as well as non-monetary items. The following deductions are allowable to an individual from the gross salary:

Deductions allowable from Gross Salary

(i) Standard deduction u/s 16(ia)

A standard deduction of ₹ 50,000 or the amount of salary, whichever is lower, is to be provided to the employee if the assessee exercises the option of shifting out of the default tax regime provided under section 115BAC(1A).

However, if the assessee is paying tax under default tax regime provided under section 115BAC(1A), standard deduction of ₹ 75,000 or the amount of salary, whichever is lower, is provided to the employee.

(ii) Entertainment allowance u/s 16(ii) (only for Govt. employees)

Least of the following is allowable as deduction:

(a) ₹ 5,000

(b) 1/5th of basic salary

(c) Actual entertainment allowance received

[Deduction in respect of entertainment allowance would be available to an assessee only if he exercises the option of shifting out of the default tax regime provided under section 115BAC(1A). The deduction would not be available under the default tax regime i.e., under section 115BAC(1A)].

(iii) Professional Tax/Tax on employment (paid by employer/ employee) u/s 16(iii): If professional tax is reimbursed or directly paid by the employer on behalf of the employee, the amount so paid is first included as salary income and then allowed as a deduction u/s 16.

[Deduction in respect of professional tax would be available to an assessee only if he exercises the option of shifting out of the default tax regime provided under section 115BAC(1A). The deduction would not be available under the default tax regime i.e., under section 115BAC(1A)].

Income from house property

- (I) Annual Value -** The process of computation of income under the head “Income from house property” starts with the determination of annual value of the property. The concept of annual value and the method of determination is laid down in section 23.

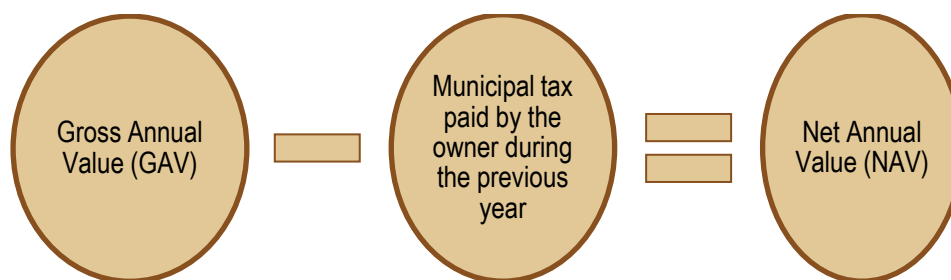
The annual value of any property comprising of buildings or lands appurtenant thereto of which the assessee is the owner is chargeable to tax under the head “Income from house property”.

Exceptions: Annual value of the following properties are chargeable under the head “Profits and gains of business or profession” -

- (i) Portions of property occupied by the assessee for the purpose of any business or profession carried on by him.
- (ii) Commercial Properties of an assessee engaged in the business of letting out of properties.

It is pertinent to note that any income from letting out of a residential house or part thereof by the assessee, being owner shall always be chargeable under the head “Income from house property.”

Determination of Annual Value



GAV would be higher of expected rent and actual rent received or receivable during the previous year. The Expected Rent (ER) is the higher of fair rent (FR) and municipal value (MV) but restricted to standard rent (SR). In the absence of any information relating to Municipal value, fair rent and standard rent, actual rent would be considered as GAV.

- (II) **Annual value of self-occupied property:** Where the property is self-occupied for **own residence** or **unoccupied** throughout the previous year **due to any reason**, its Annual Value will be Nil, provided no other benefit is derived by the owner from such property.

The expression “Unoccupied property” refers to a property which cannot be occupied by the owner by reason of his employment, business or profession at a different place and he resides at such other place in a building not belonging to him.

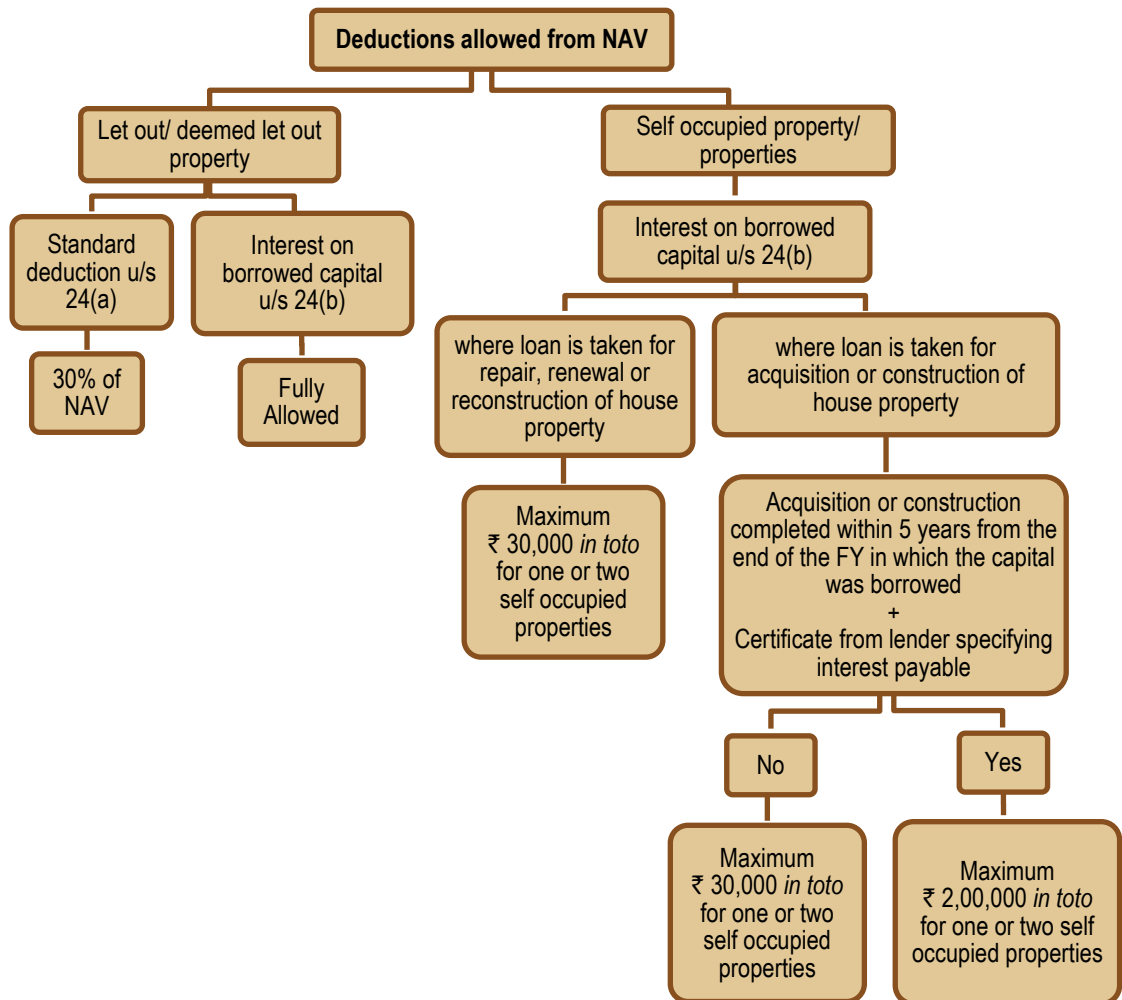
The benefit of “Nil” Annual Value is available only for upto two self-occupied or unoccupied house properties i.e. for either one house property or two house properties owned by the assessee. The benefit of “Nil” Annual Value in respect of upto **two** self-occupied house properties is available only to an individual/ HUF.

No deduction for municipal taxes is allowed in respect of such property/properties as annual value means value determined after deduction of municipal taxes.

- (III) **Annual value of property held as stock-in-trade:** In some cases, property consisting of any building or land appurtenant thereto may be held as stock-in-trade, and the whole or any part of the property may not be let out during the whole or any part of the previous year. In such cases, the annual value of such property or part of the property shall be NIL.

This benefit would be available for the period upto **two** years from the end of the financial year in which certificate of completion of construction of the property is obtained from the competent authority.

- (IV) **Deductions from Net Annual Value under optional tax regime (normal provisions of the Act)**



(V) **Taxability of arrears of rent & unrealised rent:** As per section 25A(1), the amount of rent received in arrears from a tenant or the amount of unrealised rent realised subsequently from a tenant by an assessee shall be deemed to be income from house property in the financial year in which such rent is received or realised, and shall be included in the total income of the assessee under the head "Income from house property", whether the assessee is the owner of the property or not in that financial year. Section 25A(2) provides a deduction of 30% of arrears of rent or unrealised rent realised subsequently by the assessee.

(VI) **Annual value of co-owned property:** Where the house property owned by co-owners is self occupied by each of the co-owners, the annual value of the property of each co-owner will be Nil and each co-owner shall be entitled to a deduction of ₹ 30,000 / ₹ 2,00,000, as the case may be, under section 24(b) on account of interest on borrowed capital if they exercise the option of shifting out of the default tax regime provided under section 115BAC(1A).

However, the aggregate deduction of interest to each co-owner in respect of interest payable on loan taken for co-owned house property and interest, if any, payable on loan taken for another self-occupied property owned by him cannot exceed ₹ 30,000/ ₹ 2,00,000, as the case may be.

Where the house property owned by co-owners is let out, the income from such property shall be computed as if the property is owned by one owner and thereafter the income so computed shall be apportioned amongst each co-owner as per their specific share.

(VII) **Deemed ownership:** As per section 27, the following persons, though not legal owners of a property, are deemed to be the owners for the purposes of sections 22 to 26.

- In case of transfer of house property by an individual to his or her spouse otherwise than for adequate consideration or in connection with an agreement to live apart, the transferor is deemed to be the owner of the transferred property.
- In case of transfer of house property by an individual to his or her minor child (other than a minor married daughter) otherwise than for adequate consideration, the transferor would be deemed to be owner of the house property transferred.

Exception – *In case of transfer to a minor married daughter, the transferor is not deemed to be the owner.*

Note – *Where cash is transferred to spouse/minor child and the transferee acquires property out of such cash, then the transferor shall not be treated as deemed owner of the house property. However, clubbing provisions will be attracted.*

- The holder of an impartible estate shall be deemed to be the individual owner of all properties comprised in the estate.
- A member of a co-operative society, company or other association of persons to whom a building or part thereof is allotted or leased under a House Building Scheme of a society/ company/ association, shall be deemed to be owner of that building or part thereof allotted to him although the co-operative society/company/ association is the legal owner of that building.
- A person who is allowed to take or retain the possession of any building or part thereof in part performance of a contract of the nature referred to in section 53A of the Transfer of Property Act shall be the deemed owner of that house property.
- A person who acquires any rights in or with respect to any building or part thereof, by virtue of any transaction as is referred to in section 269UA(f) i.e. transfer by way of lease for not less than 12 years, shall be deemed to be the owner of that building or part thereof.

Exception – *In case the person acquiring any rights by way of lease from month to month or for a period not exceeding one year, such person will not be deemed to be the owner.*

India [Section 2(25A)]

The term 'India' means –

- (i) the territory of India as per article 1 of the Constitution,
- (ii) its territorial waters, seabed and subsoil underlying such waters,
- (iii) continental shelf,
- (iv) exclusive economic zone or
- (v) any other specified maritime zone and the air space above its territory and territorial waters.

Specified maritime zone means the maritime zone as referred to in the Territorial Waters, Continental Shelf, Exclusive Economic Zone and other Maritime Zones Act, 1976.

Maximum marginal rate and Average Rate of tax

As per section 2(10), "**Average Rate of tax**" means the rate arrived at by dividing the amount of income-tax calculated on the total income, by such total income.

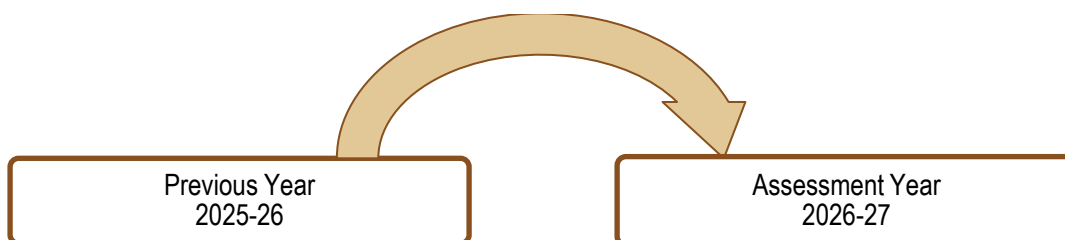
Example: Total Income of Mr. A, who has exercised option of shifting out of default regime under section 115BAC, is ₹ 6,00,000 and tax payable on it including cess is ₹ 33,800, the average rate of tax works out to be **5.63%**.

Section 2(29C) defines "**Maximum marginal rate**" to mean the rate of income-tax (including surcharge on the income-tax, if any) applicable in relation to the highest slab of income in the case of an individual, AOP or BOI, as the case may be, as specified in Finance Act of the relevant year.



1.3 PREVIOUS YEAR AND ASSESSMENT YEAR

The concepts have been dealt with at the Intermediate level. Let us have a quick recap of these concepts -



Assessment year [Section 2(9)]

The term has been defined under section 2(9). This means a period of 12 months commencing on 1st April every year. The year in which income is earned is the previous year and such income is taxable in the immediately following year which is the assessment year. Income earned in the previous year 2025-26 is taxable in the assessment year 2026-27.

Assessment year always starts from 1st April and it is always a period of 12 months.

Previous year [Section 3]

It means the financial year immediately preceding the assessment year. As mentioned earlier, the income earned during the previous year is taxable in the assessment year.

Business or profession newly set up during the financial year - In such a case, the previous year shall be the period beginning on the date of setting up of the business or profession and ending with 31st March of the said financial year.

If a source of income comes into existence in the said financial year, then the previous year will commence from the date on which the source of income newly comes into existence and will end with 31st March of the financial year.

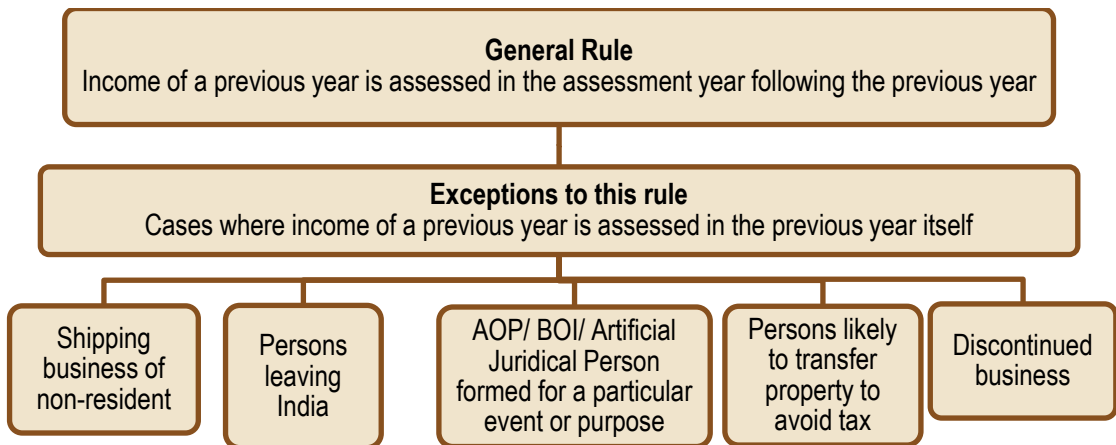
Examples: A is running a business from 1993 onwards. Determine the previous year for the assessment year 2026-27.

Ans. The previous year will be 1.4.2025 to 31.3.2026.

A chartered accountant sets up his profession on 1st July, 2025. Determine the previous year for the assessment year 2026-27.

Ans. The previous year will be from 1.7.2025 to 31.3.2026.

Certain cases when income of a previous year will be assessed in the previous year itself



The income of an assessee for a previous year is charged to income-tax in the assessment year following the previous year. For instance, income of previous year 2025-26 is assessed during 2026-27. Therefore, 2026-27 is the assessment year for assessment of income of the previous year 2025-26.

However, in a few cases, this rule does not apply and the income is taxed in the previous year in which it is earned. These exceptions have been made to protect the interests of revenue. The exceptions are as follows:

(a) Shipping business of non-resident [Section 172]

Where a ship, belonging to or chartered by a non-resident, carries passengers, livestock, mail or goods shipped at a port in India, the ship is allowed to leave the port only when the tax has been paid or satisfactory arrangement has been made for payment thereof. 7.5% of the freight paid or payable to the owner or the charterer or to any person on his behalf, whether in India or outside India on account of such carriage is deemed to be his income which is charged to tax in the same year in which it is earned.

(b) Persons leaving India [Section 174]

Where it appears to the Assessing Officer that any individual may leave India during the current assessment year or shortly after its expiry and he has no present intention of returning to India, the total income of such individual for the period from the expiry of the respective previous year up to the probable date of his departure from India is chargeable to tax in that assessment year.

Example: Suppose Mr. X is leaving India for USA on 10.6.2025 and it appears to the Assessing Officer that he has no intention to return. Before leaving India, Mr. X may be asked to pay income-tax on the income earned during the P.Y. 2024-25 as well as the total income earned during the period 1.4.2025 to 10.06.2025.

(c) AOP/ BOI/ Artificial Juridical Person formed for a particular event or purpose [Section 174A]

If an AOP/ BOI etc. is formed or established for a particular event or purpose and the Assessing Officer apprehends that the AOP/ BOI is likely to be dissolved in the same year or in the next year, he can make assessment of the income of such previous years up to the date of dissolution as income of the relevant assessment year.

Example: Red Flakes is an AOP formed on 14.11.2025 by X and Y for a limited purpose of organizing a musical concert of a British band "Music Zone" on 14.06.2026. The AOP is likely to be dissolved after the concert. In such a case, the Assessing Officer can make the assessment for the income earned from 14.11.2025 to 31.03.2026 and 01.04.2026 to 14.06.2026 during the A.Y. 2026-27 itself.

(d) Persons likely to transfer property to avoid tax [Section 175]

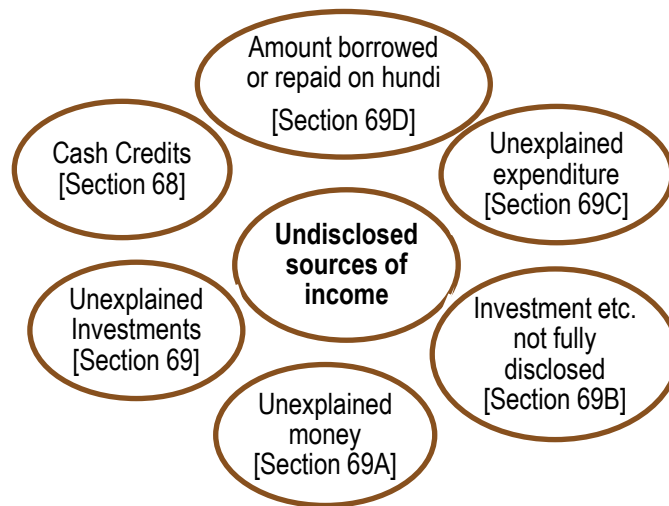
During the current assessment year, if it appears to the Assessing Officer that a person is likely to charge, sell, transfer, dispose of or otherwise part with any of his assets to avoid payment of any liability under this Act, the total income of such person for the period from the expiry of the previous year to the date, when the Assessing Officer commences proceedings under this section is chargeable to tax in that assessment year.

Example: The Assessing Officer is informed that Mr. X, a defaulter of a leading bank, is likely to sell all his luxury cars on 02.10.2025 with a view to avoid payment of Income-tax. In such case, the Assessing Officer can commence proceedings to tax the income of the year commencing from 01.04.2025 to 02.10.2025 during A.Y. 2025-26 itself.

(e) Discontinued business [Section 176]

Where any business or profession is discontinued in any assessment year, the income of the period from the expiry of the previous year up to the date of such discontinuance may, at the discretion of the Assessing Officer, be charged to tax in that assessment year.

Example: The Assessing Officer is informed during the course of assessment by X Pvt. Ltd. that they have discontinued their business from 31.05.2025. In such a case, the Assessing Officer may exercise his discretion and tax the income of the company from 01.04.2025 to 31.05.2025 during the A.Y. 2025-26. It may be noted that the income of the P.Y. 2025-26 will also be taxed in A.Y. 2025-26. However, as the Assessing Officer has discretion under section 176, he could alternatively wait till the completion of the assessment year and tax the income of the period commencing from 01.04.2025 to 31.05.2025 in the A.Y. 2026-27.

Undisclosed sources of income

There are many occasions when the Assessing Officer detects cash credits, unexplained investments, unexplained expenditure etc., the source for which is not satisfactorily explained by the assessee to the Assessing Officer. The Act contains a series of provisions to provide for these contingencies:

(a) Cash Credits [Section 68]

Where any sum is found credited in the books of the assessee and the assessee offers no explanation about the nature and source or the explanation offered is not satisfactory in the opinion of the Assessing Officer, the sum so credited may be charged as income of the assessee of that previous year.

Unexplained loan or borrowing - Where the sum so credited consists of loan or borrowing or any such amount, by whatever name called, any explanation offered by the assessee in whose books such sum is credited would not be deemed to be satisfactory, unless

- the person in whose name such credit is recorded in the books of such assessee also offers an explanation about the nature and source of such sum so credited and
- in the opinion of the Assessing Officer, such explanation has been found to be satisfactory.

Unexplained Share Capital/ Premium - Any explanation offered by a closely held company in respect of any sum credited as share application money, share capital, share premium or any such amount, by whatever name called, in the accounts of such company would not be deemed to be satisfactory, unless

- the person, being a resident, in whose name such credit is recorded in the books of such company also explains about the nature and the source of such sum so credited and
- in the opinion of the Assessing Officer, such explanation has been found to be satisfactory.

Non-applicability to Venture Capital Fund or Venture Capital Company⁵ – The abovementioned additional conditions would not apply if the person, in whose name the sum is recorded, is a Venture Capital Fund or Venture Capital Company registered with SEBI.

(b) Unexplained Investments [Section 69]

Where in the financial year immediately preceding the assessment year, the assessee has made investments which are not recorded in the books of account and the assessee offers no explanation about the nature and the source of investments or the explanation offered is not satisfactory in the opinion of the Assessing Officer, the value of the investments are taxed as deemed income of the assessee of such financial year.

(c) Unexplained money etc. [Section 69A]

Where in any financial year the assessee is found to be the owner of any money, bullion, jewellery or other valuable article and the same is not recorded in the books of account and the assessee offers no explanation about the nature and source of acquisition of such

⁵ defined under section 10(23FB)

money, bullion etc. or the explanation offered is not satisfactory in the opinion of the Assessing Officer, the money and the value of bullion etc. may be deemed to be the income of the assessee for such financial year. Ownership is important and mere possession is not enough.

(d) Amount of investments etc., not fully disclosed in the books of account [Section 69B]

Where in any financial year the assessee has made investments or is found to be the owner of any bullion, jewellery or other valuable article and the Assessing Officer finds that the amount spent on making such investments or in acquiring such articles exceeds the amount recorded in the books of account maintained by the assessee and he offers no explanation for the difference or the explanation offered is unsatisfactory in the opinion of the Assessing Officer, such excess may be deemed to be the income of the assessee for such financial year.

Example: If the assessee is found to be the owner of say 300 gms of gold (market value of which is ₹ 30,000) during the financial year ending 31.3.2026 but he has recorded having spent ₹ 20,000 in acquiring it, the Assessing Officer can add ₹ 10,000 (i.e., the difference of the market value of such gold and ₹ 20,000) as the income of the assessee, if the assessee offers no satisfactory explanation thereof.

(e) Unexplained expenditure [Section 69C]

Where in any financial year an assessee has incurred any expenditure and he offers no explanation about the source of such expenditure or the explanation is unsatisfactory in the opinion of the Assessing Officer, Assessing Officer can treat such unexplained expenditure as the income of the assessee for such financial year. Such unexplained expenditure which is deemed to be the income of the assessee shall not be allowed as deduction under any head of income.

(f) Amount borrowed or repaid on *hundi* [Section 69D]

Where any amount is borrowed on a *hundi* or any amount due thereon is repaid other than through an account-payee cheque drawn on a bank, the amount so borrowed or repaid shall be deemed to be the income of the person borrowing or repaying for the previous year in which the amount was borrowed or repaid, as the case may be.

However, where any amount borrowed on a *hundi* has been deemed to be the income of any person, he will not be again liable to be assessed in respect of such amount on repayment of such amount. The amount repaid shall include interest paid on the amount borrowed.

Section 115BBE provides the rate at which such cash credits, undisclosed income, undisclosed expenditure etc. deemed as income under section 68 or section 69 or section 69A or section 69B or section 69C or section 69D would be subject to tax. See Special rates of tax on page 1.44 of this Chapter.



1.4 CHARGE OF INCOME TAX

Section 4 of the Income-tax Act, 1961 is the charging section which provides that:

- (1) Tax shall be charged at the rates prescribed for the year by the annual Finance Act or the Income-tax Act, 1961 or both.
- (2) The charge is on every person specified under section 2(31);
- (3) Tax is chargeable on the total income earned during the previous year and not the assessment year. (There are certain exceptions provided by sections 172, 174, 174A, 175 and 176 discussed above);
- (4) Tax shall be levied in accordance with and subject to the various provisions contained in the Act.

This section is the backbone of the law of income-tax in so far as it serves as the most operative provision of the Act. The tax liability of a person springs from this section.



1.5 RATES OF TAX, SURCHARGE & CESS

Income-tax

Income-tax is to be charged on every person at the rates prescribed for the year by the Annual Finance Act or the Income-tax Act, 1961 or both.

Section 2 of the Finance Act, 2025 read with Part I of the First Schedule to the Finance Act, 2025, seeks to specify the rates at which income-tax is to be levied on income chargeable to tax for the assessment year 2025-26.

Part II lays down the rate at which tax is to be deducted at source during the financial year 2025-26 from income subject to such deduction under the Income-tax Act, 1961;

Part III lays down the rates for charging income-tax in certain cases, rates for deducting income-tax from income chargeable under the head "Salaries" and the rates for computing advance tax for the financial year 2025-26 where the assessee exercises the option to shift out of the default tax regime.

Part III of the First Schedule to the Finance Act, 2025 will become Part I of the First Schedule to the Finance Act, 2026 and so on.

Surcharge

Surcharge is an additional tax payable over and above the income-tax. Surcharge is levied as a percentage of income-tax. Surcharge is presently being levied beyond a particular threshold of income for different persons. Also, higher rates of surcharge are prescribed for higher thresholds of income. However, under the special tax regimes for domestic companies and co-operative societies, a uniform surcharge is prescribed irrespective of the level of total income.

“Health and Education cess” on Income-tax

The amount of income-tax as increased by the union surcharge, if applicable, should be further increased by an additional surcharge called the “Health and Education cess on income-tax”, calculated at the rate of 4% of such income-tax and surcharge, if applicable. Health and education cess is leviable in the case of all assessees i.e. individuals, HUF, AOPs/BOIs, Artificial Juridical Persons, firms, local authorities, co-operative societies and companies.

It is leviable to fulfill the commitment of the Government to provide and finance quality health services and universalised quality basic education and secondary and higher education.

Individual/ Hindu Undivided Family (HUF)/ Association of Persons (AOP)/ Body of Individuals (BOI)/ Artificial Juridical Person

(i) Income-tax:

Individual/HUF/AoP/Bol and Artificial Juridical Persons can pay tax at concessional rates under the default tax regime under section 115BAC. However, such person has to forego certain exemptions and deductions under this regime. Alternatively, he/it can exercise the option to shift out of the default tax regime and pay tax under the optional tax regime as per the regular provisions of the Act at the tax rates prescribed by the Annual Finance Act of that year.

Concessional tax rates under the default tax regime under section 115BAC(1A)

Individuals/ HUF/ AoPs/ Bols or artificial judicial persons, other than those who exercise the option to opt out this regime under section 115BAC(6), have to pay tax in respect of their total income (other than income chargeable to tax at special rates under Chapter XII such as section 111A, 112, 112A, 115BB, 115BBJ etc.) at the following concessional rates, subject to certain conditions specified under section 115BAC(2) like non-availability of deduction in respect of Leave Travel Concession, interest on housing loan on self-occupied property, deductions under Chapter VI-A [other than section 80CCD(2), 80CCH(2) or section 80JJAA] etc. –

(i)	Upto ₹ 4,00,000	NIL
(ii)	From ₹ 4,00,001 to ₹ 8,00,000	5%
(iii)	From ₹ 8,00,001 to ₹ 12,00,000	10%
(iv)	From ₹ 12,00,001 to ₹ 16,00,000	15%
(v)	From ₹ 16,00,001 to ₹ 20,00,000	20%
(vi)	From ₹ 20,00,001 to ₹ 24,00,000	25%
(vii)	Above ₹ 24,00,000	30%

For detailed discussion on section 115BAC, refer to Chapter 9 in Module 2 of the Study Material.

Tax rates prescribed by the Annual Finance Act for optional tax regime

The slab rates for A.Y. 2026-27 applicable to an Individual/HUF/AOP/BOI/ Artificial Juridical Person, which has exercised the option of shifting out of the default tax regime, are as follows:

(i)	where the total income does not exceed ₹ 2,50,000	NIL
(ii)	where the total income exceeds ₹ 2,50,000 but does not exceed ₹ 5,00,000	5% of the amount by which the total income exceeds ₹ 2,50,000
(iii)	where the total income exceeds ₹ 5,00,000 but does not exceed ₹ 10,00,000;	₹ 12,500 <i>plus</i> 20% of the amount by which the total income exceeds ₹ 5,00,000
(iv)	where the total income exceeds ₹ 10,00,000	₹ 1,12,500 <i>plus</i> 30% of the amount by which the total income exceeds ₹ 10,00,000

For a senior citizen (being a resident individual who is of the age of 60 years but not more than 80 years at any time during the previous year), the basic exemption limit is ₹ 3,00,000. Further, resident individuals of the age of 80 years or more at any time during the previous year, being very senior citizens, would be eligible for a higher basic exemption limit of ₹ 5,00,000. Therefore, the tax slabs for these assesseees would be as follows –

For senior citizens (being resident individuals of the age of 60 years or more but less than 80 years)

(i)	where the total income does not exceed ₹ 3,00,000	NIL
(ii)	where the total income exceeds ₹ 3,00,000 but does not exceed ₹ 5,00,000	5% of the amount by which the total income exceeds ₹ 3,00,000

(iii)	where the total income exceeds ₹ 5,00,000 but does not exceed ₹ 10,00,000;	₹ 10,000 <i>plus</i> 20% of the amount by which the total income exceeds ₹ 5,00,000
(iv)	where the total income exceeds ₹ 10,00,000	₹ 1,10,000 <i>plus</i> 30% of the amount by which the total income exceeds ₹ 10,00,000

For resident individuals of the age of 80 years or more at any time during the previous year

(i)	where the total income does not exceed ₹ 5,00,000	NIL
(ii)	where the total income exceeds ₹ 5,00,000 but does not exceed ₹ 10,00,000;	20% of the amount by which the total income exceeds ₹ 5,00,000
(iii)	where the total income exceeds ₹ 10,00,000	₹ 1,00,000 <i>plus</i> 30% of the amount by which the total income exceeds ₹ 10,00,000

Clarification regarding attaining prescribed age of 60 years/ 80 years on 31st March itself, in case of senior/very senior citizens whose date of birth falls on 1st April [Circular No. 28/2016, dated 27.07.2016]

An individual who is resident in India and of the age of 60 years or more (senior citizen) and 80 years or more (very senior citizen) is eligible for a higher basic exemption limit of ₹ 3,00,000 and ₹ 5,00,000, respectively.

The contentious issue is regarding the attainment of the aforesaid qualifying ages for availing higher basic exemption limit in cases of the persons whose date of birth falls on 1st April of calendar year. In other words, the broader question under consideration is whether a person born on 1st April of a particular year can be said to have completed a particular age on 31st March, on the preceding day of his/her birthday, or on 1st April itself of that year.

The Supreme Court had an occasion to consider a similar issue in the case of *Prabhu Dayal Sesma vs. State of Rajasthan & another* 1986, AIR, 1948 wherein it has dealt with on the general rules to be followed for calculating the age of the person. The Apex Court observed that while counting the age of the person, whole of the day should be reckoned and it starts from 12 o'clock in the midnight and he attains the specified age on the day preceding, the anniversary of his birthday. In the absence of any express provision, it is well settled that any specified age in law is to be computed as having been attained on the day preceding the anniversary of the birthday.

The CBDT has, vide this Circular, clarified that a person born on 1st April would be considered to have attained a particular age on 31st March, the day preceding the anniversary of his birthday. In particular, the question of attainment of age of eligibility for being considered a senior/very senior citizen would be decided on the basis of above criteria.

Therefore, a resident individual whose 60th birthday falls on 1st April, 2026, would be treated as having attained the age of 60 years in the P.Y.2025-26, and would be eligible for higher basic exemption limit of ₹ 3 lakh in computing his tax liability for A.Y.2026-27 under the optional tax regime as per normal provisions of the Act. Likewise, a resident individual whose 80th birthday falls on 1st April, 2026, would be treated as having attained the age of 80 years in the P.Y.2025-26, and would be eligible for higher basic exemption limit of ₹ 5 lakh in computing his tax liability for A.Y.2026-27 under the optional tax regime as per normal provisions of the Act.

In respect of certain types of income, as mentioned below, the Income-tax Act, 1961 has prescribed specific rates. The special rates of tax have to be applied on the respective component of total income irrespective of the tax regime and the slab rates have to be applied on the balance of total income after adjusting the basic exemption limit.

S. No.	Section	Income	Rate of Tax				
(a)	112	(I) Long term capital gains (other than LTCG taxable as per section 112A and mentioned in (II) below) arising from transfer of capital asset - - from transfer of any land or building or both by an individual or a HUF, being a resident acquired before 23.7.2024 - from transfer of other capital asset	Lower of 20% with indexation or 12.5% without indexation 12.5% without indexation				
		(II) Long-term capital gains arising from transfer of unlisted securities or shares of company in which public are not substantially interested by non-resident assessee	12.5% without indexation and foreign currency fluctuations				
		(b)	112A	Long term capital gains on transfer of – • Equity share in a company • Unit of an equity oriented fund • Unit of business trust Condition for availing the benefit of this concessional rate is that securities transaction tax should have been paid – <table><tr><th>In case of</th><th>Time of payment of STT</th></tr><tr><td>Equity shares</td><td>both at the time of acquisition and transfer</td></tr></table>	In case of	Time of payment of STT	Equity shares
In case of	Time of payment of STT						
Equity shares	both at the time of acquisition and transfer						

		Unit of equity oriented fund or unit of business trust	at the time of transfer	
(c)	111A	Short-term capital gains on transfer of – • Equity shares in a company • Unit of an equity oriented fund • Unit of business trust The conditions for availing the benefit of this concessional rate are – (i) the transaction of sale of such equity share or unit should be entered into on or after 1.10.2004; and (ii) such transaction should be chargeable to securities transaction tax.		20%
(d)	115BB	Winnings from • Lotteries; • Crossword puzzles; • Races including horse races; • Card games and other games of any sort; • Gambling or betting of any form or nature (other than winning from any online game)		30%
(e)	115BBJ	Net winnings from online games		30%
(f)	115BBE	Unexplained money, investment, expenditure, etc. deemed as income under section 68 or section 69 or section 69A or section 69B or section 69C or section 69D [See discussion below]		60%

Unexplained money, investments etc. to attract tax@60% [Section 115BBE]

- (i) In order to control laundering of unaccounted money by availing the benefit of basic exemption limit, the unexplained money, investment, expenditure, etc. deemed as income under section 68 or section 69 or section 69A or section 69B or section 69C or section 69D would be taxed at the rate of 60% *plus* surcharge @25% of tax. Thus, the effective rate of tax (including surcharge@25% of tax and cess@4% of tax and surcharge) is 78%.
- (ii) No basic exemption or allowance or expenditure shall be allowed to the assessee under any provision of the Income-tax Act, 1961 in computing such deemed income.

- (iii) Further, no set off of any loss shall be allowable against income brought to tax under sections 68 or section 69 or section 69A or section 69B or section 69C or section 69D.

ILLUSTRATION 1

Mr. Arjun has a total income of ₹ 16,00,000 for P.Y.2025-26, comprising of income from house property and interest on fixed deposits. Compute his tax liability for A.Y.2026-27 assuming his age is –

- (a) 52 years
(b) 64 years
(c) 83 years

Assume that Mr. Arjun has exercised the option to shift out/ opt out of the default tax regime.

SOLUTION

(a) Computation of Tax liability of Mr. Arjun (aged 52 years)

Tax liability:

First ₹ 2,50,000 - Nil	-
Next ₹ 2,50,001 - ₹ 5,00,000 - @5% of ₹ 2,50,000	₹ 12,500
Next ₹ 5,00,001 - ₹ 10,00,000 - @20% of ₹ 5,00,000	₹ 1,00,000
Balance i.e., ₹ 16,00,000 minus ₹ 10,00,000 - @30% of ₹ 6,00,000	<u>₹ 1,80,000</u>
	₹ 2,92,500
Add: Health and Education cess@4%	<u>₹ 11,700</u>
	<u>₹ 3,04,200</u>

(b) Computation of Tax liability of Mr. Arjun (aged 64 years)

Tax liability:

First ₹ 3,00,000 - Nil	
Next ₹ 3,00,001 - ₹ 5,00,000 - @5% of ₹ 2,00,000	₹ 10,000
Next ₹ 5,00,001 - ₹ 10,00,000 - @20% of ₹ 5,00,000	₹ 1,00,000
Balance i.e., ₹ 16,00,000 minus ₹ 10,00,000 - @30% of ₹ 6,00,000	<u>₹ 1,80,000</u>
	₹ 2,90,000
Add: Health and Education cess@4%	<u>₹ 11,600</u>
	<u>₹ 3,01,600</u>

(c) Computation of Tax liability of Mr. Arjun (aged 83 years)**Tax liability:**

First ₹ 5,00,000 - Nil

Next ₹ 5,00,001 - ₹ 10,00,000 - @ 20% of ₹ 5,00,000 ₹ 1,00,000

Balance i.e., ₹ 16,00,000 minus ₹ 10,00,000 - @ 30% of ₹ 6,00,000 ₹ 1,80,000

₹ 2,80,000

Add: Health and Education cess@4%

₹ 11,200

₹ 2,91,200**Surcharge****In case the Individual/HUF/AoP⁶/BoI and Artificial Juridical Person pays tax under default tax regime under section 115BAC**

Income-tax computed in accordance with the provisions of section 115BAC and/ or section 111A or section 112 or section 112A or 115BBE or section 115BBJ would be increased by surcharge given under the following table:

	Particulars	Rate of surcharge on income-tax	Examples	
			Components of total income	Applicable rate of surcharge
(i)	Where the total income (including dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 50 lakhs but ≤ ₹ 1 crore	10%	Example	
			- Dividend ₹ 15 lakhs; - STCG u/s 111A ₹ 15 lakhs; - LTCG u/s 112 ₹ 25 lakhs; - LTCG u/s 112A ₹ 20 lakhs; and - Other income ₹ 25 lakhs	Surcharge would be levied @10% on income-tax computed on total income of ₹ 1 crore.
(ii)	Where total income (including dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 1 crore but ≤ ₹ 2 crore	15%	Example	
			- Dividend income ₹ 10 lakhs; - STCG u/s 111A ₹ 35 lakhs; - LTCG u/s 112 ₹ 50 lakhs;	Surcharge would be levied @15% on income-tax computed on total income of ₹ 1.85 crores.

⁶ (other than an AOP consisting of only companies as members)

			• LTCG u/s 112A ₹ 35 lakhs; and • Other income ₹ 55 lakhs	
(iii)	Where total income (excluding dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 2 crore	25%	Example	
	The rate of surcharge on the income-tax payable on the portion of dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A	Not exceeding 15%	• Dividend income ₹ 51 lakhs; • STCG u/s 111A ₹ 44 lakh; • LTCG u/s 112 ₹ 42 lakhs; • LTCG u/s 112A ₹ 55 lakh; and • Other income ₹ 6 crores	Surcharge@15% would be levied on income-tax on: • Dividend income of ₹ 51 lakhs; • STCG of ₹ 44 lakhs chargeable to tax u/s 111A; • LTCG of ₹ 42 lakhs chargeable to tax u/s 112; and • LTCG of ₹ 55 lakhs chargeable to tax u/s 112A. Surcharge@25% would be leviable on income-tax computed on other income of ₹ 6 crores included in total income
(iv)	Where total income (including dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 2 crore in cases not covered under (iii) above	15%	Example	
			• Dividend income ₹ 40 lakhs; • STCG u/s 111A ₹ 35 lakhs; • LTCG u/s 112 ₹ 42 lakhs; • LTCG u/s 112A ₹ 50 lakhs; and • Other income ₹ 1.10 crore	Surcharge would be levied@15% on income-tax computed on total income of ₹ 2.77 crore.

Marginal relief

The purpose of marginal relief is to ensure that the increase in amount of tax payable (including surcharge) due to increase in total income of an assessee beyond the prescribed limit should not exceed the amount of increase in total income.

Marginal relief is available in case of such persons paying tax under default tax regime u/s 115BAC referred to in above i.e., -

	Particulars	Marginal relief
(i)	Where the total income > ₹ 50 lakhs but ≤ ₹ 1 crore	Step 1 - Compute income-tax on total income; and add surcharge@10% on such income-tax (A) Step 2 - Compute income-tax on ₹ 50 lakhs Step 3 - Total income (-) ₹ 50 lakhs Step 4 - Add the amount computed in Step 2 and Step 3 (B) Step 5 - Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., A) or Step 4 (i.e., B). Consequently, if A > B, the marginal relief would be A – B.
(ii)	Where the total income > ₹ 1 crore but ≤ ₹ 2 crores	Step 1 - Compute income-tax on total income; and add surcharge@15% on income-tax (C) Step 2 - Compute income-tax on total income of ₹ 1 crore + surcharge on such income-tax@10% Step 3 - Total income (-) ₹ 1 crore Step 4 - Add the amount computed in Step 2 and Step 3 (D) Step 5 - Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., C) or Step 4 (i.e., D). Consequently, if C > D, the marginal relief would be C – D.
(iii)	Where the total income > ₹ 2 crores	Step 1 - Compute income-tax on total income; and add surcharge@25% on income-tax (E) Step 2 - Compute income-tax on total income of ₹ 2 crore + surcharge on such income-tax@15% Step 3 - Total income (-) ₹ 2 crore Step 4 - Add the amount computed in Step 2 and Step 3 (F) Step 5 - Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., E) or Step 4 (i.e., F). Consequently, if E > F, the marginal relief would be E – F.

Note – It is presumed that the total income referred to above does not include dividend income, long term capital gains taxable under section 112/ 112A and short-term capital gains taxable under section 111A.

In case the total income includes dividend income, long term capital gains taxable under section 112/112A or short-term capital gains taxable under section 111A, surcharge on income-tax

computed on such dividend income and capital gains cannot exceed 15%. This must be kept in mind while computing marginal relief in cases referred to in (iii) above.

In case the Individual/HUF/AoP⁷/BoI and Artificial Juridical Person exercises the option to shift out of the default tax regime

Income-tax computed in accordance with normal provisions of the Act or section 111A or section 112 or section 112A or 115BBE or section 115BBJ would be increased by surcharge given under the following table:

	Particulars	Rate of surcharge on income-tax	Example	
			Components of total income	Applicable rate of surcharge
(i)	Where the total income (including dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 50 lakhs but ≤ ₹ 1 crore	10%	Example	
			- Dividend ₹ 10 lakhs; - STCG u/s 111A ₹ 20 lakhs; - LTCG u/s 112 ₹ 15 lakhs; - LTCG u/s 112A ₹ 20 lakhs; and - Other income ₹ 25 lakhs	Surcharge would be levied@10% on income-tax computed on total income of ₹ 90 lakhs.
(ii)	Where total income (including dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 1 crore but ≤ ₹ 2 crore	15%	Example	
			- Dividend income ₹ 10 lakhs; - STCG u/s 111A ₹ 40 lakhs; - LTCG u/s 112 ₹ 55 lakhs; - LTCG u/s 112A ₹ 35 lakhs; and - Other income ₹ 50 lakhs	Surcharge would be levied@15% on income-tax computed on total income of ₹ 1.90 crores.
(iii)	Where total income (excluding dividend income and capital gains chargeable to tax u/s 111A, 112 and	25%	Example	
			Dividend income ₹ 51 lakhs;	Surcharge@15% would be levied on income-tax on:

⁷ (other than an AOP consisting of only companies as members)

	112A) > ₹ 2 crore but ≤ ₹ 5 crore		• STCG u/s 111A ₹ 44 lakh; • LTCG u/s 112 ₹ 42 lakhs; • LTCG u/s 112A ₹ 55 lakh; and • Other income ₹ 3 crores	• Dividend income of ₹ 51 lakhs; • STCG of ₹ 44 lakhs chargeable to tax u/s 111A; • LTCG of ₹ 42 lakhs chargeable to tax u/s 112; and • LTCG of ₹ 55 lakhs chargeable to tax u/s 112A. Surcharge@25% would be leviable on income-tax computed on other income of ₹ 3 crores included in total income
(iv)	Where total income (excluding dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 5 crore	37%	Example	
	Rate of surcharge on the income-tax payable on the portion of dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A	Not exceeding 15%	• Dividend income ₹ 60 lakhs; • STCG u/s 111A ₹ 50 lakhs; • LTCG u/s 112 ₹ 42 lakhs; • LTCG u/s 112A ₹ 25 lakhs; and • Other income ₹ 6 crore	Surcharge@15% would be levied on income-tax on: • Dividend income of ₹ 60 lakhs; • STCG of ₹ 50 lakhs chargeable to tax u/s 111A; • LTCG of ₹ 42 lakhs chargeable to tax u/s 112; and • LTCG of ₹ 25 lakhs chargeable to tax u/s 112A. Surcharge@37% would be leviable on the income-tax computed on other income of ₹ 6 crores included in total income.

(v)	Where total income (including dividend income and capital gains chargeable to tax u/s 111A, 112 and 112A) > ₹ 2 crore in cases not covered under (iii) and (iv) above	15%	Example - Dividend income ₹ 55 lakhs; - STCG u/s 111A ₹ 60 lakhs; - LTCG u/s 112 ₹ 42 lakhs; - LTCG u/s 112A ₹ 35 lakhs; and - Other income ₹ 1.10 crore Surcharge would be levied@15% on income-tax computed on total income of ₹ 3.02 crore.
-----	---	-----	--

Marginal relief

Marginal relief in case of such persons referred to in above under the optional tax regime (as per the normal provisions of the Act).

	Particulars	Marginal relief
(i)	Where the total income > ₹ 50 lakhs but ≤ ₹ 1 crore	Step 1 - Compute income-tax on total income; and add surcharge@10% on such income-tax (A) Step 2 - Compute income-tax on ₹ 50 lakhs Step 3 - Total income (-) ₹ 50 lakhs Step 4 - Add the amount computed in Step 2 and Step 3 (B) Step 5 - Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., A) or Step 4 (i.e., B). Consequently, if A > B, the marginal relief would be A – B.
(ii)	Where the total income > ₹ 1 crore but ≤ ₹ 2 crores	Step 1 - Compute income-tax on total income; and add surcharge@15% on income-tax (C) Step 2 - Compute income-tax on total income of ₹ 1 crore + surcharge on such income-tax@10% Step 3 - Total income (-) ₹ 1 crore Step 4 - Add the amount computed in Step 2 and Step 3 (D) Step 5 - Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., C) or Step 4 (i.e., D). Consequently, if C > D, the marginal relief would be C – D.

(iii)	Where the total income > ₹ 2 crores but ≤ ₹ 5 crores	Step 1 - Compute income-tax on total income; and add surcharge@25% on income-tax (E) Step 2 - Compute income-tax on total income of ₹ 2 crore + surcharge on such income-tax@15% Step 3 - Total income (-) ₹ 2 crore Step 4 - Add the amount computed in Step 2 and Step 3 (F) Step 5 – Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., E) or Step 4 (i.e., F). Consequently, if E>F, the marginal relief would be E – F.
(iv)	Where the total income > ₹ 5 crores	Step 1 - Compute income-tax on total income; and add surcharge@37% on income-tax (G) Step 2 - Compute income-tax on total income of ₹ 5 crore + surcharge on such income-tax@25% Step 3 - Total income (-) ₹ 5 crore Step 4 - Add the amount computed in Step 2 and Step 3 (H) Step 5 – Income-tax liability on total income (along with surcharge) would be the lower of the amount arrived at in Step 1 (i.e., G) or Step 4 (i.e., H). Consequently, if G>H, the marginal relief would be G – H.

Note – It is presumed that the total income referred to above does not include dividend income, long term capital gains taxable under section 112/ 112A and short-term capital gains taxable under section 111A.

In case the total income includes dividend income, long term capital gains taxable under section 112/ 112A or short-term capital gains taxable under section 111A, surcharge on income-tax computed on such dividend income and capital gains cannot exceed 15%. This must be kept in mind while computing marginal relief in cases referred to in (iii) and (iv) above.

ILLUSTRATION 2

Compute the tax liability of Mr. Arpit (aged 42), having total income of ₹ 51 lakhs for the Assessment Year 2026-27. Assume that his total income comprises of salary income, Income from house property and interest on fixed deposit. Assume that Mr. Arpit has exercised the option to shift out of section 115BAC.

SOLUTION**Computation of tax liability of Mr. Arpit for the A.Y.2026-27**

(A) Income-tax (including surcharge) computed on total income of ₹ 51,00,000		
₹ 2,50,000 – ₹ 5,00,000 @5%	₹ 12,500	
₹ 5,00,001 – ₹ 10,00,000 @20%	₹ 1,00,000	
₹ 10,00,001 – ₹ 51,00,000 @30%	<u>₹ 12,30,000</u>	
Total	₹ 13,42,500	
Add: Surcharge @ 10%	<u>₹ 1,34,250</u>	₹ 14,76,750
(B) Income-tax computed on total income of ₹ 50 lakhs		
(₹ 12,500 plus ₹ 1,00,000 plus ₹ 12,00,000)		₹ 13,12,500
(C) Total Income Less ₹ 50 lakhs		₹ 1,00,000
(D) Income-tax computed on total income of ₹ 50 lakhs plus the excess of total income over ₹ 50 lakhs (B +C)		
		₹ 14,12,500
(E) Tax liability: lower of (A) and (D)		₹ 14,12,500
Add: Health and education cess @4%		<u>₹ 56,500</u>
Tax liability		<u>₹ 14,69,000</u>
(F) Marginal Relief (A – D)		₹ 64,250

Alternative method -

(A) Income-tax (including surcharge) computed on total income of ₹ 51,00,000		
₹ 2,50,000 – ₹ 5,00,000@5%	₹ 12,500	
₹ 5,00,001 – ₹ 10,00,000@20%	₹ 1,00,000	
₹ 10,00,001 – ₹ 51,00,000@30%	<u>₹ 12,30,000</u>	
Total	₹ 13,42,500	
Add: Surcharge@10%	<u>₹ 1,34,250</u>	₹ 14,76,750
(B) Income-tax computed on total income of ₹ 50 lakhs		
(₹ 12,500 plus ₹ 1,00,000 plus ₹ 12,00,000)		<u>₹ 13,12,500</u>
(C) Excess tax payable (A)-(B)		₹ 1,64,250

(D) Marginal Relief (₹ 1,64,250 – ₹ 1,00,000, being the amount of income in excess of ₹ 50,00,000)	₹ 64,250
(E) Tax liability (A)-(D)	₹ 14,12,500
Add: Health and education cess @4%	<u>₹ 56,500</u>
Tax liability	<u>₹ 14,69,000</u>

ILLUSTRATION 3

Compute the tax liability of Mr. Veer (aged 51) under the default tax regime, having total income of ₹ 1,01,00,000 for the Assessment Year 2026-27. Assume that his total income comprises of salary income, Income from house property and interest on fixed deposit.

SOLUTION

Computation of tax liability of Mr. Veer for the A.Y. 2026-27

(A) Income-tax (including surcharge) computed on total income of ₹ 1,01,00,000	
₹ 4,00,000 – ₹ 8,00,000@5%	₹ 20,000
₹ 8,00,001 – ₹ 12,00,000@10%	₹ 40,000
₹ 12,00,001 – ₹ 16,00,000@15%	₹ 60,000
₹ 16,00,001 – ₹ 20,00,000@20%	₹ 80,000
₹ 20,00,001 – ₹ 24,00,000@25%	₹ 1,00,000
₹ 24,00,001 – ₹ 1,01,00,000@30%	<u>₹ 23,10,000</u>
Total	₹ 26,10,000
Add: Surcharge@15%	<u>₹ 3,91,500</u>
Tax liability without marginal relief	₹ 30,01,500
(B) Income-tax computed on total income of ₹ 1 crore	
(₹ 3,00,000 plus ₹ 22,80,000)	₹ 25,80,000
Add: Surcharge@10%	<u>₹ 2,58,000</u>
	₹ 28,38,000
(C) Total Income Less ₹ 1 crore	₹ 1,00,000

(D)	Income-tax computed on total income of ₹ 1 crore <i>plus</i> the excess of total income over ₹ 1 crore (B +C)	₹ 29,38,000
(E)	Tax liability: lower of (A) & (D)	₹ 29,38,000
	Add: Health and education cess @4%	<u>₹ 1,17,520</u>
	Tax liability	<u>₹ 30,55,520</u>
(F)	Marginal relief (A-D)	₹ 63,500

Alternative method:

(A)	Income-tax (including surcharge) computed on total income of ₹ 1,01,00,000	
	₹ 4,00,000 – ₹ 8,00,000@5%	₹ 20,000
	₹ 8,00,001 – ₹ 12,00,000@10%	₹ 40,000
	₹ 12,00,001 – ₹ 16,00,000@15%	₹ 60,000
	₹ 16,00,001 – ₹ 20,00,000@20%	₹ 80,000
	₹ 20,00,001 – ₹ 24,00,000@25%	₹ 1,00,000
	₹ 24,00,001 – ₹ 1,01,00,000@30%	<u>₹ 23,10,000</u>
	Total	₹ 26,10,000
	Add: Surcharge @ 15%	<u>₹ 3,91,500</u>
		₹ 30,01,500
(B)	Income-tax computed on total income of ₹ 1 crore	
	[(₹ 3,00,000 plus ₹ 22,80,000) plus surcharge@10%]	<u>₹ 28,38,000</u>
(C)	Excess tax payable (A)-(B)	₹ 1,63,500
(D)	Marginal Relief (₹ 1,63,500 – ₹ 1,00,000, being the amount of income in excess of ₹ 1,00,00,000)	₹ 63,500
(E)	Tax liability (A) - (D)	₹ 29,38,000
	Add: Health and education cess @4%	<u>₹ 1,17,520</u>
	Tax liability	<u>₹ 30,55,520</u>

ILLUSTRATION 4

Compute the tax liability of Mr. Varun (aged 58), having total income of ₹ 2,01,00,000 for the Assessment Year 2026-27. Assume that his total income comprises of salary income, Income from

house property and interest on fixed deposit. Assume that Mr. Varun has exercised the option to shift out of section 115BAC.

SOLUTION

Computation of tax liability of Mr. Varun for the A.Y. 2026-27

(A) Income-tax (including surcharge) computed on total income of ₹ 2,01,00,000		
₹ 2,50,000 – ₹ 5,00,000 @ 5%	₹ 12,500	
₹ 5,00,001 – ₹ 10,00,000 @ 20%	₹ 1,00,000	
₹ 10,00,001 – ₹ 2,01,00,000 @ 30%	<u>₹ 57,30,000</u>	
Total	₹ 58,42,500	
Add: Surcharge @ 25%	<u>₹ 14,60,625</u>	₹ 73,03,125
(B) Income-tax computed on total income of ₹ 2 crore		
(₹ 12,500 plus ₹ 1,00,000 plus ₹ 57,00,000)		₹ 58,12,500
Add: Surcharge @ 15%		<u>₹ 8,71,875</u>
		₹ 66,84,375
(C) Total Income Less ₹ 2 crore		₹ 1,00,000
(D) Income-tax computed on total income of ₹ 2 crore <i>plus</i> the excess of total income over ₹ 2 crore (B +C)		
		₹ 67,84,375
(E) Tax liability (A) or (D), whichever is lower		₹ 67,84,375
Add: Health and education cess @ 4%		<u>₹ 2,71,375</u>
Tax liability		<u>₹ 70,55,750</u>
(F) Marginal relief (A-D)		₹ 5,18,750

Alternative method

(A) Income-tax (including surcharge) computed on total income of ₹ 2,01,00,000		
₹ 2,50,000 – ₹ 5,00,000 @ 5%	₹ 12,500	
₹ 5,00,001 – ₹ 10,00,000 @ 20%	₹ 1,00,000	
₹ 10,00,001 – ₹ 2,01,00,000 @ 30%	<u>₹ 57,30,000</u>	
Total	₹ 58,42,500	
Add: Surcharge @ 25%	<u>₹ 14,60,625</u>	₹ 73,03,125

(B)	Income-tax computed on total income of ₹ 2 crore [(₹ 12,500 plus ₹ 1,00,000 plus ₹ 57,00,000) plus surcharge@15%]	<u>₹ 66,84,375</u>
(C)	Excess tax payable (A)-(B)	₹ 6,18,750
(D)	Marginal Relief (₹ 6,18,750 – ₹ 1,00,000, being the amount of income in excess of ₹ 2,00,00,000)	₹ 5,18,750
(E)	Tax liability (A) - (D)	₹ 67,84,375
	Add: Health and education cess@4%	<u>₹ 2,71,375</u>
	Tax liability	<u>₹ 70,55,750</u>

ILLUSTRATION 5

Compute the tax liability of Mr. Akhil (aged 65) in a most beneficial manner. He is having total income of ₹ 5,01,00,000 for the Assessment Year 2026-27. Assume that his total income comprises of salary income, Income from house property and interest on fixed deposit and is the same under both tax regimes.

SOLUTION

**Computation of tax liability of Mr. Akhil under default tax regime
for the A.Y. 2026-27**

Income-tax (including surcharge) computed on total income of ₹ 5,01,00,000	
₹ 4,00,000 – ₹ 8,00,000@5%	₹ 20,000
₹ 8,00,001 – ₹ 12,00,000@10%	₹ 40,000
₹ 12,00,001 – ₹ 16,00,000@15%	₹ 60,000
₹ 16,00,001 – ₹ 20,00,000@20%	₹ 80,000
₹ 20,00,001 – ₹ 24,00,000@25%	₹ 1,00,000
₹ 24,00,001 – ₹ 5,01,00,000@30%	<u>₹ 1,43,10,000</u>
Total	₹ 1,46,10,000
Add: Surcharge@25%	<u>₹ 36,52,500</u>
	₹ 1,82,62,500
Add: Health and education cess @4%	<u>₹ 7,30,500</u>
Tax liability	<u>₹ 1,89,93,000</u>

**Computation of tax liability of Mr. Akhil under optional tax regime
for the A.Y. 2026-27**

(A) Income-tax (including surcharge) computed on total income of ₹ 5,01,00,000		
₹ 3,00,000 – ₹ 5,00,000 @ 5%	₹ 10,000	
₹ 5,00,001 – ₹ 10,00,000 @ 20%	₹ 1,00,000	
₹ 10,00,001 – ₹ 5,01,00,000@30%	<u>₹ 1,47,30,000</u>	
Total	₹ 1,48,40,000	
Add: Surcharge @ 37%	<u>₹ 54,90,800</u>	₹ 2,03,30,800
(B) Income-tax computed on total income of ₹ 5 crore		
(₹ 10,000 plus ₹ 1,00,000 plus ₹ 1,47,00,000)		₹ 1,48,10,000
Add: Surcharge@25%		<u>₹ 37,02,500</u>
		₹ 1,85,12,500
(C) Total Income Less ₹ 5 crore		₹ 1,00,000
(D) Income-tax computed on total income of ₹ 5 crore <i>plus</i> the excess of total income over ₹ 5 crore (B +C)		₹ 1,86,12,500
(E) Tax liability (A) or (D), whichever is lower		₹ 1,86,12,500
Add: Health and education cess@4%		<u>₹ 7,44,500</u>
Tax liability		<u>₹ 1,93,57,000</u>
(F) Marginal Relief (A – D)		₹ 17,18,300

Alternative method

(A) Income-tax (including surcharge) computed on total income of ₹ 5,01,00,000		
₹ 3,00,000 – ₹ 5,00,000@5%	₹ 10,000	
₹ 5,00,001 – ₹ 10,00,000@20%	₹ 1,00,000	
₹ 10,00,001 – ₹ 5,01,00,000@30%	<u>₹ 1,47,30,000</u>	
Total	₹ 1,48,40,000	
Add: Surcharge @ 37%	<u>₹ 54,90,800</u>	₹ 2,03,30,800
(B) Income-tax computed on total income of ₹ 5 crore		
[(₹ 10,000 plus ₹ 1,00,000 plus ₹ 1,47,00,000) <i>plus</i> surcharge@25%]		<u>₹ 1,85,12,500</u>

(C)	Excess tax payable (A)-(B)	₹ 18,18,300
(D)	Marginal Relief (₹ 18,18,300 – ₹ 1,00,000, being the amount of income in excess of ₹ 5,00,00,000)	₹ 17,18,300
(E)	Tax liability (A) - (D)	₹ 1,86,12,500
	Add: Health and education cess @4%	₹ 7,44,500
	Tax liability	₹ 1,93,57,000

It is beneficial for Mr. Akhil to pay tax under default tax regime under section 115BAC, since his tax liability would be lower by ₹ 3,64,000 (₹ 1,93,57,000 - ₹ 1,89,93,000).

Firm/ LLP/ Local Authority

Income-tax

On the whole of the total income 30%

Special rates for capital gains under sections 112, 112A and 111A would be applicable to Firm/ LLP/ local authority also.

Surcharge

Where the total income exceeds ₹ 1 crore, surcharge is payable at the rate of 12% of income-tax computed as above.

Marginal Relief

Marginal relief is available in case of such persons having a total income exceeding ₹ 1 crore i.e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax computed on total income of ₹ 1 crore by more than the amount of income that exceeds ₹ 1 crore.

Co-operative Society

Income-tax rates as per the normal provisions of the Act

(i)	Where the total income does not exceed ₹ 10,000	10% of the total income
(ii)	Where the total income exceeds ₹ 10,000 but does not exceed ₹ 20,000	₹ 1,000 plus 20% of the amount by which the total income exceeds ₹ 10,000
(iii)	Where the total income exceeds ₹ 20,000	3,000 plus 30% of the amount by which the total income exceeds ₹ 20,000

Note – A co-operative society, resident in India, can opt for concessional rate of tax under section 115BAD.

Tax rate in case of a manufacturing co-operative society, resident in India (set up and registered on or after 1.4.2023 and commences manufacture of article or thing before 31.3.2024) which has opted for concessional tax regime u/s 115BAE: 15% of income derived from or incidental to manufacturing or production of an article or thing

Tax rate in case of other resident co-operative society opting for concessional tax regime u/s 115BAD: 22% of total income

Note - Co-operative society, resident in India, can opt for concessional rate of tax u/s 115BAD, subject to certain conditions. The total income of such co-operative societies would be computed without giving effect to deduction under section 10AA, 33AB, 33ABA, 35(1)(ii)/(iia)/(iii), 35(2AA), 35AD, 35CCC, additional depreciation under section 32(1)(iia), deductions under Chapter VI-A (other than section 80JJAA) etc. and set off of loss and depreciation brought forward from earlier years relating to the above deductions. The provisions of alternate minimum tax under section 115JC would not be applicable to a co-operative society opting for section 115BAD or 115BAE.

For detailed discussion on sections 115BAD and 115BAE, please refer Chapter 9 in Module 2 of the Study Material.

Special rates for capital gains under sections 112, 112A and 111A would be applicable to Co-operative society also.

Surcharge

- (a) **In case of a co-operative society (other than a co-operative society opted for section 115BAD or section 115BAE), whose total income > ₹ 1 crore but is ≤ ₹ 10 crore**

Where the total income exceeds ₹ 1 crore but does not exceed ₹ 10 crore, surcharge is payable at the rate of 7% of income-tax computed in accordance with the slab rates given above and/ or section 111A or section 112 or section 112A.

Marginal Relief

Marginal relief is available in case of such co-operative societies i.e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax computed on total income of ₹ 1 crore by more than the amount of income that exceeds ₹ 1 crore.

(b) In case of a co-operative society (other than a co-operative society opted for section 115BAD or section 115BAE), whose total income is > ₹ 10 crore

Where the total income exceeds ₹ 10 crore, surcharge is payable at the rate of **12%** of income-tax computed in accordance with the slab rates given above and/ or section 111A or section 112 or section 112A.

Marginal Relief

Marginal relief is available in case of such co-operative societies i. e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax and surcharge computed on total income of ₹ 10 crore by more than the amount of income that exceeds ₹ 10 crore.

(c) In case of a co-operative society opted for section 115BAD or section 115BAE

Surcharge @10% of income-tax computed under section 115BAD or section 115BAE would be leviable. Since there is no threshold limit for applicability of surcharge, consequently, there would be no marginal relief.

Domestic Company

Income-tax

<i>If the total turnover or gross receipt in the P.Y.2023-24 ≤ ₹ 400 crore</i>	<i>25% of the total income</i>
<i>In any other case</i>	<i>30% of the total income</i>
Notes – <u>In case of a domestic manufacturing company (set up and registered on or after 1.10.2019 and commences manufacture of article or thing⁸ before 31.3.2024) which has exercised option u/s 115BAB:</u> 15% of income derived from or incidental to manufacturing or production of an article or thing <u>In case of a domestic company exercising option u/s 115BAA:</u> 22% of total income Domestic company can opt for section 115BAA, subject to certain conditions. The total income of such companies would be computed without giving effect to deductions under section 10AA, 33AB, 33ABA, 35(1)(ii)/(iia)/(iii), 35(2AA), 35(2AB), 35AD, 35CCC, 35CCD, Chapter VI-A (except section 80JJAA or section 80M), additional depreciation under section 32(1)(iia) etc. and without set-off of brought forward loss and unabsorbed depreciation attributable to such deductions. <i>For detailed discussion on sections 115BAA and 115BAB, please refer Chapter 9 in Module 2 of the Study Material.</i>	

⁸Including business of generation of electricity

Special rates for capital gains under sections 112, 112A and 111A would be applicable to domestic company also.

Surcharge

- (a) In case of a domestic company (other than a domestic company opted for section 115BAA or section 115BAB), whose total income > ₹ 1 crore but is ≤ ₹ 10 crore

Where the total income exceeds ₹ 1 crore but does not exceed ₹ 10 crore, surcharge is payable at the rate of 7% of income-tax computed in accordance with the rates given above.

Marginal Relief

Marginal relief is available in case of such companies i.e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax computed on total income of ₹ 1 crore by more than the amount of income that exceeds ₹ 1 crore.

ILLUSTRATION 6

Compute the marginal relief available to X Ltd., a domestic company, assuming that the total income of X Ltd. is ₹ 1,01,00,000 for A.Y.2026-27 and the total income does not include any income in the nature of capital gains. Assume that the company has not exercised option under section 115BAA or 115BAB.

[Note - The gross receipts of X Ltd. for the P.Y.2023-24 is ₹ 402 crore]

SOLUTION

The tax payable on total income of ₹ 1,01,00,000 of X Ltd. computed @32.1% (including surcharge @7%) is ₹ 32,42,100. However, the tax cannot exceed ₹ 31,00,000 (i.e., the tax of ₹ 30,00,000 payable on total income of ₹ 1 crore plus ₹ 1,00,000, being the amount of total income exceeding ₹ 1 crore). The marginal relief is ₹ 1,42,100 (i.e., ₹ 32,42,100 - ₹ 31,00,000). Therefore, the tax payable on ₹ 1,01,00,000 would be ₹ 32,24,000 (₹ 31,00,000 plus health and education cess @4% of ₹ 1,24,000).

- (b) In case of a domestic company (other than a domestic company opted for section 115BAA or section 115BAB), whose total income is > ₹ 10 crore

Where the total income exceeds ₹ 10 crore, surcharge is payable at the rate of **12%** of income-tax computed in accordance with the rates given above.

Marginal Relief

Marginal relief is available in case of such companies i.e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax and surcharge computed on total income of ₹ 10 crore by more than the amount of income that exceeds ₹ 10 crore.

ILLUSTRATION 7

Compute the marginal relief available to Y Ltd., a domestic company, assuming that the total income of Y Ltd. for A.Y.2026-27 is ₹ 10,01,00,000 and the total income does not include any income in the nature of capital gains. Assume that the company has not exercised option under section 115BAA or 115BAB.

[Note - The gross receipts of Y Ltd. for the P.Y.2023-24 is ₹ 410 crore]

SOLUTION

The tax payable on total income of ₹ 10,01,00,000 of Y Ltd. computed @ 33.6% (including surcharge @ 12%) is ₹ 3,36,33,600. However, the tax cannot exceed ₹ 3,22,00,000 [i.e., the tax of ₹ 3,21,00,000 (32.1% of ₹ 10 crore) payable on total income of ₹ 10 crore plus ₹ 1,00,000, being the amount of total income exceeding ₹ 10 crore]. The marginal relief is ₹ 14,33,600 (i.e., ₹ 3,36,33,600 - ₹ 3,22,00,000). Therefore, the tax payable on ₹ 10,01,00,000 would be ₹ 3,34,88,000 (i.e., ₹ 3,22,00,000 plus health and education cess @ 4% of ₹ 12,88,000).

(c) In case of a domestic company opted for section 115BAA or section 115BAB

Surcharge @ 10% of income-tax computed under section 115BAA or section 115BAB would be leviable. Since there is no threshold limit for applicability of surcharge, consequently, there would be no marginal relief.

Foreign Company

Income-tax

Royalties and fees for rendering technical services (FTS) received from Government or an Indian concern in pursuance of an agreement, approved by the Central Government, made by the company with the Government or Indian concern between 1.4.1961 and 31.3.1976 (in case of royalties) and between 1.3.1964 and 31.3.1976 (in case of FTS)	50%
Other income	35%

Special rates for capital gains under sections 112, 112A and 111A would be applicable to foreign company also.

Surcharge

(a) In case of a foreign company, whose total income > ₹ 1 crore but is ≤ ₹ 10 crore

Where the total income exceeds ₹ 1 crore but does not exceed ₹ 10 crore, surcharge is payable at the rate of 2% of income-tax computed in accordance with the rates given above.

Marginal Relief

Marginal relief is available in case of such companies i.e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax computed on total income of ₹ 1 crore by more than the amount of income that exceeds ₹ 1 crore.

(b) In case of a foreign company, whose total income is > ₹ 10 crore

Where the total income exceeds ₹ 10 crore, surcharge is payable at the rate of 5% of income-tax computed in accordance with the rates given above.

Marginal Relief

Marginal relief is available in case of such companies i.e., the total amount of income-tax (together with surcharge) computed on such income should not exceed the amount of income-tax and surcharge computed on total income of ₹ 10 crore by more than the amount of income that exceeds ₹ 10 crore.



1.6 REBATE FOR RESIDENT INDIVIDUALS [SECTION 87A]

In order to provide tax relief to the individual taxpayers, section 87A provides a rebate from the tax payable by an assessee, being an individual resident in India.

Rebate to resident individual paying tax under default tax regime u/s 115BAC

- (1) If the total income of the resident individual is chargeable to tax under section 115BAC and the total income of such individual **does not exceed ₹ 12,00,000**, the rebate shall be equal to the amount of income-tax payable on his total income for any assessment year or an amount of **₹ 60,000**, whichever is less.

The amount of rebate under section 87A shall not exceed the amount of income-tax (as computed before allowing such rebate) on the total income of the assessee with which he is chargeable for any assessment year.

It is further provided that the rebate shall not exceed the amount of income-tax computed as per the rates provided in section 115BAC.

ILLUSTRATION 8

Mr. Mahesh aged 32 years and a resident in India, has a total income of ₹ 10,50,000, comprising his salary income and interest on bank fixed deposit. Compute his tax liability for A.Y.2026-27 under default tax regime under section 115BAC.

SOLUTION**Computation of tax liability of Mr. Mahesh for A.Y. 2026-27**

Particulars	₹
Tax on total income of ₹ 10,50,000	
Tax @10% of ₹ 2,50,000 plus ₹ 20,000	45,000
Less: Rebate u/s 87A (Lower of tax payable or ₹ 60,000)	<u>45,000</u>
Tax Liability	Nil

- (2) If the total income of the resident individual is chargeable to tax under section 115BAC and the total income of such individual **exceeds ₹ 12,00,000** and income-tax payable on such total income exceeds the amount by which the total income is **in excess of ₹ 12,00,000**, the rebate would be as follows.

Step 1 – Total income (-) ₹ 12 lakhs **(A)**

Step 2 - Compute income-tax liability on total income **(B)**

Step 3 - If **B>A**, rebate under section 87A would be a **B – A**.

The amount of rebate under section 87A shall not exceed the amount of income-tax (as computed before allowing such rebate) on the total income of the assessee.

It is further provided that the rebate shall not exceed the amount of income-tax computed as per the rates provided in section 115BAC.

ILLUSTRATION 9

Mr. Nitin aged 42 years and a resident in India, has a total income of ₹ 12,15,000, comprising his salary income and interest on bank fixed deposit. Compute his tax liability for A.Y.2026-27 under default tax regime under section 115BAC.

SOLUTION**Computation of tax liability of Mr. Nitin for A.Y. 2026-27**

Particulars	₹	
Step 1: Total Income of ₹ 12,15,000 - ₹ 12,00,000	15,000	(A)

Step 2: Tax on total income of ₹ 12,15,000		
Tax @10% of ₹ 15,000 + ₹ 60,000	62,250	(B)
Step 3: Since B > A, rebate u/s 87A would be B-A [₹ 62,250 - ₹ 15,000]	47,250	
Add: HEC@4%	15,000	
	600	
Tax Liability	15,600	

Rebate to a resident individual paying tax under optional tax regime (normal provisions of the Act)

If total income of such individual **does not exceed ₹ 5,00,000**, the rebate shall be equal to the amount of income-tax payable on his total income for any assessment year or an amount of ₹ 12,500, whichever is less.

The amount of rebate under section 87A shall not exceed the amount of income-tax (as computed before allowing such rebate) on the total income of the assessee with which he is chargeable for any assessment year.

Rebate is, however, not available in respect of tax payable on long-term capital gains taxable u/s 112A.

ILLUSTRATION 10

Mr. Manish, aged 47 years and a resident in India, has a total income of ₹ 4,15,000, comprising his salary income and interest on bank fixed deposit. Compute his tax liability for A.Y. 2026-27 if he exercises the option to shift out of the default tax regime.

SOLUTION

Computation of tax liability of Mr. Manish for A.Y. 2026-27

Particulars	₹
Tax on total income of ₹ 4,15,000	
Tax@5% of ₹ 1,65,000	8,250
Less: Rebate u/s 87A (Lower of tax payable or ₹ 12,500)	8,250
Tax Liability	Nil

- Rebate under section 87A is allowed from income-tax computed before adding Health and education cess on income-tax.

SIGNIFICANT SELECT CASES

Sl. No.	Case Law	
1.	Bank of Rajasthan Ltd. vs CIT [2024] 469 ITR 280 (SC)	
	Issue	Facts, Analysis and Decision
	Whether the interest paid by the banks for broken period on purchase of securities can be claimed as revenue expenditure?	Facts of the case: In the present case, the assessee (a Scheduled Bank) involves in purchase and sale of government securities. It classified these securities as stock-in-trade in its books of account. The assessee consistently followed the method of setting off and netting the amount of interest paid by it on the purchase of securities [i.e., interest for the broken period (<i>refer note below for the meaning of broken period</i>)] against the interest recovered by it on the sale of securities and offering the net interest income to tax. This method was accepted in earlier assessments. However, the Commissioner of Income Tax (CIT) exercised revisional jurisdiction under section 263, holding that the broken period interest forms part of cost of acquisition and is not allowed as deduction. Analysis and Decision: The Apex Court noted that the banks are required to purchase Government securities to maintain the Statutory Liquidity Ratio. As per RBI's guidelines, there are three categories of securities: HTM (Held to Maturity), AFS (Available for Sale) and HFT (Held for Trading). As far as AFS and HFT are concerned, banks held such securities as stock-in-trade. Therefore, in these two categories of securities, the benefit of deduction of interest for the broken period will be available. The securities of the HTM category are usually held for a long term till their maturity. If it is found that HTM security is held as an investment, the benefit of broken period interest will not be available. Accordingly, the Apex Court held that as the securities were treated as stock-in-trade, the interest on the broken period cannot be considered as capital expenditure and will have to be treated as revenue expenditure, and thus, allowed as deduction.

		Note - When a Bank purchases a security on a date which falls between the dates on which the interest is payable on the security, the purchaser Bank, in addition to the price of the security, has to pay an amount equivalent to the interest accrued for the period from the last interest payment till the date of purchase. This interest is termed as the interest for the broken period.
2.	PCIT vs. Adadyn Technologies (P.) Ltd. [2024] 465 ITR 409 (SC)	
	Issue	Facts and Decision
	Whether the expenses incurred by the Assessee towards development of software for advertisement, which, due to technological development, had to be abandoned, can be claimed as revenue expenditure allowable?	Facts of the case: The assessee is a company engaged in the business of rendering customized internet advertising services to advertisers which could be used on the Desktop. In order to develop its software, assessee had incurred certain expenditure. Due to rapid change in the technology, the application sought to be developed by the assessee had become obsolete and the assessee abandoned further development. Decision: The High Court held that since the product having been abandoned, the assessee shall not get any enduring benefit. In substance, assessee has incurred expenditure in these two years to develop a software but due to change in technology, it had to abandon the product. In effect, it had lost money spent on this product. Accordingly, the High Court held that the assessee shall not get any enduring benefit and therefore, the expenditure was to be treated as revenue in nature. SLP filed by the revenue against impugned order of the High Court was dismissed by the Supreme Court.
3.	Mahle Anand Filter Systems Pvt. Ltd. v. ACIT [2023] 456 ITR 29 (SC)	
	Issue	Analysis & Decision
	Can foregoing a security deposit to settle a dispute be considered a revenue expenditure?	When the assessee sought to vacate certain leased premises, disputes arose, and to end the dispute with the lessor, the assessee agreed not to claim the security deposit of ₹ 5.8 crores. The Apex Court affirmed the decision of the High Court which held that the amount of ₹ 5.8 crores could not be treated

		as revenue expenditure merely because it was paid in the course of a dispute. It is evident that the character of the amount was of a capital nature and remained so although assessee decided to forgo ₹ 5.8 crores (the security deposit).
4.	<i>CIT v. Saurashtra Cement Ltd. (2010) 325 ITR 422 (SC)</i>	
	Issue	Analysis & Decision
	What is the nature of liquidated damages received by a company from the supplier of plant for failure to supply machinery to the company within the stipulated time – a capital receipt or a revenue receipt?	The damages are directly and intimately linked with the procurement of a capital asset i.e., the cement plant, which lead to delay in coming into existence of the profit-making apparatus. It was not a receipt in the course of profit earning process. Therefore, the amount received by the assessee towards compensation for sterilization of the profit earning source, is not in the ordinary course of business, hence it is a capital receipt in the hands of the assessee.
5.	<i>Honda Siel Cars India Ltd. v. CIT(2017) 395 ITR 713(SC)</i>	
	Issue	Analysis & Decision
	Whether technical fee paid under a technical collaboration agreement for setting up a joint venture company in India is to be treated as revenue or capital expenditure, where, upon termination of the agreement, the joint venture would come to an end?	If a limited right to use technical know-how is obtained for a limited period for improvising existing business, the expenditure is revenue in nature. However, if technical know-how is obtained for setting up a new business, the position may be different. The very purpose of the technical collaboration agreement, in this case, was to set up the Joint Venture. The collaboration included not only transfer of technical information, but, complete assistance, actual, factual and on the spot, for establishment of plant, machinery, etc. so as to set up a manufacturing unit. Upon termination of technical collaboration agreement, the joint venture itself would come to an end. Therefore, in this case, technical fee is capital in nature since upon termination of technical collaboration agreement, the joint venture itself would come to an end.

TEST YOUR KNOWLEDGE**Questions**

1. *Mr. Bhargava, a leading advocate on corporate law, decided to reduce his practice and to accept briefs only for paying his taxes and making charities with the fees received on such briefs. In a particular case, he agreed to appear to defend one company in the Supreme Court on the condition that he would be provided with ₹ 5 lakhs for a public charitable trust that he would create. He defended the company and was paid the sum by the company. He created a trust of that sum by executing a trust deed. Decide whether the amount received by Mr. Bhargava is assessable in his hands as income from profession.*
2. *XYZ Ltd. took over the running business of a sole-proprietor by a sale deed. As per the sale deed, XYZ Ltd. undertook to pay overriding charges of ₹ 15,000 p.a. to the wife of the sole-proprietor in addition to the sale consideration. The sale deed also specifically mentioned that the amount was charged on the net profits of XYZ Ltd., who had accepted that obligation as a condition of purchase of the going concern. Is the payment of overriding charges by XYZ Ltd. to the wife of the sole-proprietor in the nature of diversion of income or application of income? Discuss.*
3. *MKG Agency is a partnership firm consisting of Mr. Mohan and his three major sons. The partnership deed provided that after the death of Mr. Mohan, the business shall be continued by the sons, subject to the condition that the firm shall pay 20% of the profits to their mother, Lakshmi. Mr. Mohan died in March, 2025. In the previous year 2025-26, the reconstituted firm paid ₹ 1 lakh (equivalent to 20% of the profits) to Lakshmi and claimed the amount as deduction from its income. Examine the correctness of the claim of the firm.*
4. *Anand was the Karta of HUF. He died leaving behind his major son Prem, his widow, his grandmother and brother's wife. Can the HUF retain its status as such or the surviving persons would become co-owners?*
5. *Mr. C borrowed on Hundi, a sum of ₹ 25,000 by way of bearer cheque on 11.09.2025 and repaid the same with interest amounting to ₹ 30,000 by account payee cheque on 12.10.2025.*

The Assessing Officer (AO) wants to treat the amount borrowed as income during the previous year. Is the action of the Assessing Officer valid?

6. *The Assessing Officer found, during the course of assessment of a firm, that it had paid rent in respect of its business premises amounting to ₹ 60,000, which was not debited in the books of account for the year ending 31.3.2026. The firm did not explain the source for payment of rent. The Assessing Officer proposes to make an addition of ₹ 60,000 in the hands of the firm for the assessment year 2026-27. The firm claims that even if the addition is made, the sum of ₹ 60,000 should be allowed as deduction while computing its business income since it has been expended for purposes of its business. Examine the claim of the firm.*

Answers

1. In the instant case, the trust was created by Mr. Bhargava himself out of his professional income. The client did not create the trust. The client did not impose any obligation in the nature of a trust binding on Mr. Bhargava. Thus, there is no diversion of the money to the trust before it became professional income in the hands of Mr. Bhargava. This case is one of application of professional income and not of diversion of income by overriding title. Therefore, the amount received by Mr. Bhargava is chargeable to tax under the head "Profits and gains of business or profession".
2. This issue came up for consideration before the Allahabad High Court in *Jit & Pal X-Rays (P.) Ltd. v. CIT (2004) 267 ITR 370 (All)*. The Allahabad High Court observed that the overriding charge which had been created in favour of the wife of the sole-proprietor was an integral part of the sale deed by which the going concern was transferred to the assessee. The obligation, therefore, was attached to the very source of income i.e., the going concern transferred to the assessee by the sale deed. The sale deed also specifically mentioned that the amount in question was charged on the net profits of the assessee-company and the assessee-company had accepted that obligation as a condition of purchase of the going concern. Hence, it is clearly a case of diversion of income by an overriding charge and not a mere application of income.
3. The issue raised in the problem is based on the concept of diversion of income by overriding title, which is well recognised in the income-tax law. In the instant case, the amount of ₹ 1 lakh, being 20% of profits of the firm, paid to Lakshmi gets diverted at source by the charge created in her favour as per the terms of the partnership deed. Such income does not reach the assessee-firm.

Rather, such income stands diverted to the other person as such other person has a better title on such income than the title of the assessee. The firm might have received the said

amount but it so received for and on behalf of Lakshmi, who possesses the overriding title. Therefore, the amount paid to Lakshmi should be excluded from the income of the firm. This view has been confirmed in *CIT vs. Nariman B. Bharucha & Sons (1981) 130 ITR 863 (Bom)*.

4. In the case of *Gowli Buddanna v. CIT (1966) 60 ITR 293*, the Supreme Court has made it clear that there need not be more than one male member to form a HUF as a taxable entity under the Income-tax Act, 1961. The expression “Hindu Undivided Family” in the Act is used in the sense in which it is understood under the personal law of the Hindus.

Under the Hindu system of law, a joint family may consist of a single male member and the widows of the deceased male members and the Income-tax Act, 1961 does not mandate that it should consist of at least two male members. Therefore, the property of a joint Hindu family does not cease to belong to the family merely because the family is represented by a single co-parcener who possesses the right which an owner of property may possess.

Therefore, the HUF would retain its status as such.

5. Section 69D provides that where any amount is borrowed on a hundi or any amount due thereon is repaid otherwise than by way of an account-payee cheque drawn on a bank, the amount so borrowed or repaid shall be deemed to be the income of the person borrowing or repaying the amount for the previous year in which the amount was so borrowed or repaid, as the case may be.

In this case, Mr. C has borrowed ₹ 25,000 on Hundi by way of bearer cheque. Therefore, it shall be deemed to be income of Mr. C for the previous year 2025-26. Since the repayment of the same along with interest was made by way of account payee cheque, the same would not be hit by the provisions of section 69D. Therefore, the action of the Assessing Officer treating the amount borrowed as income during the previous year is valid in law.

6. The claim of the firm for deduction of the sum of ₹ 60,000 in computing its business income is not tenable. The action of the Assessing Officer in making the addition of ₹ 60,000, being the payment of rent not debited in the books of account (for which the firm failed to explain the source of payment) is correct in law since the same is an unexplained expenditure under section 69C. The proviso to section 69C states that such unexplained expenditure, which is deemed to be the income of the assessee, shall not be allowed as a deduction under any head of income. Therefore, the claim of the firm is not tenable.